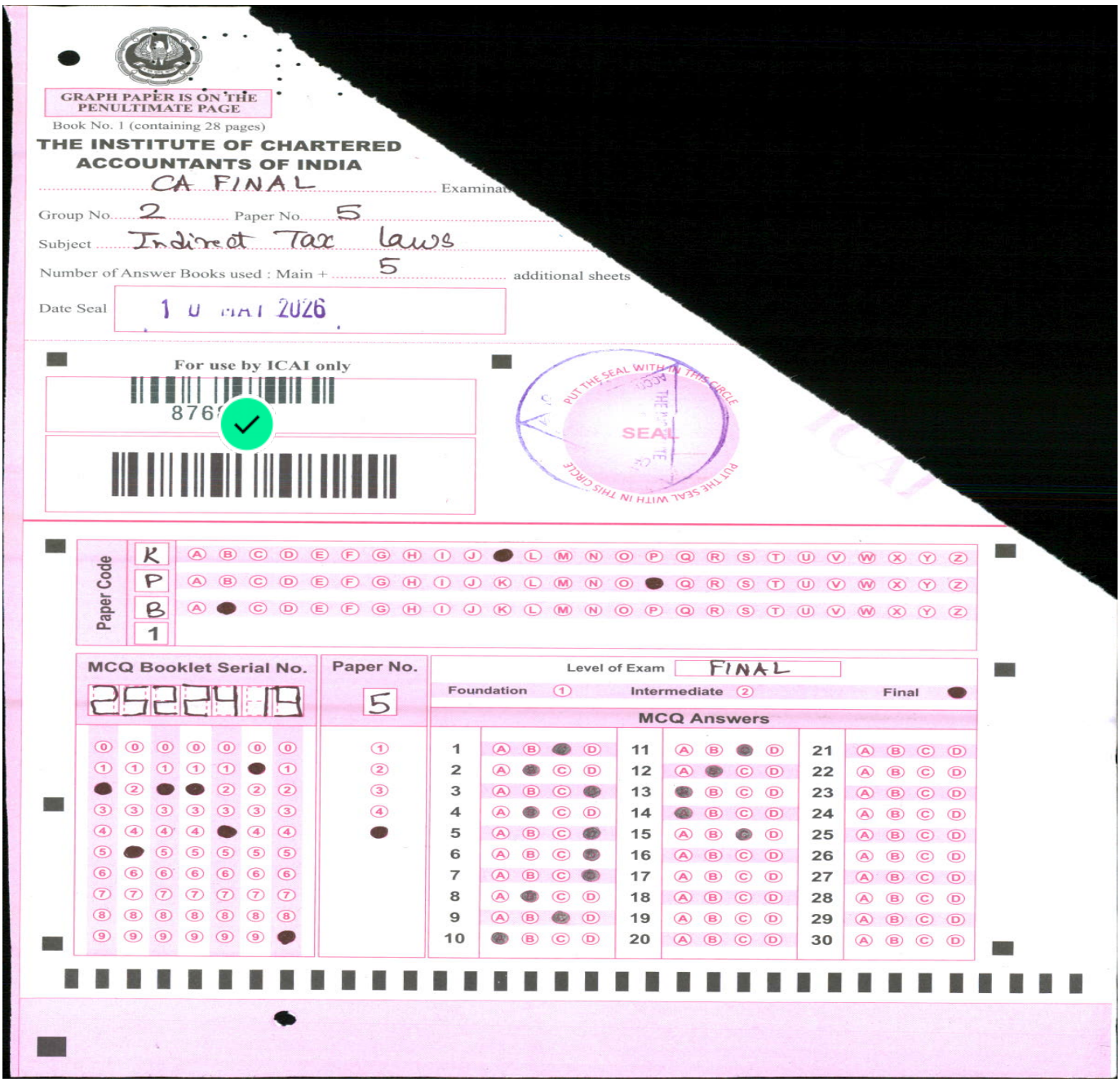
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Code:	FN5IT876888	**Total Marks:**	70
Subject :	05 Indirect Tax Laws	**Marks Obtained :**	57



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examinat

Group No. 2 Paper No. 5

Subject Indirect Tax laws

Number of Answer Books used : Main + 5 additional sheets

Date Seal 1 0 MAY 2026

For use by ICAI only

876

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Paper Code: K P B 1

MCQ Booklet Serial No. 2522479

Paper No. 5

Level of Exam FINAL

Foundation ① Intermediate ② Final ●

MCQ Answers

1	B	11	C	21	C
2	B	12	B	22	C
3	D	13	A	23	C
4	B	14	A	24	C
5	D	15	C	25	C
6	D	16	D	26	C
7	D	17	D	27	C
8	B	18	D	28	C
9	C	19	D	29	C
10	A	20	D	30	C

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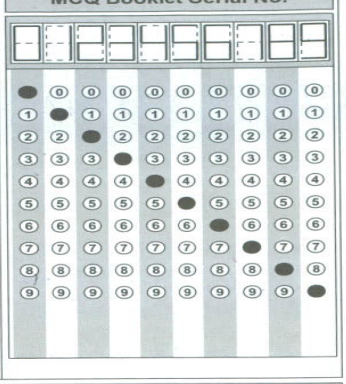
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you want to change your Answer, erase the darkened e completely and make a fresh mark.

2. Please do NOT make any stray marks on the OMR cover page.

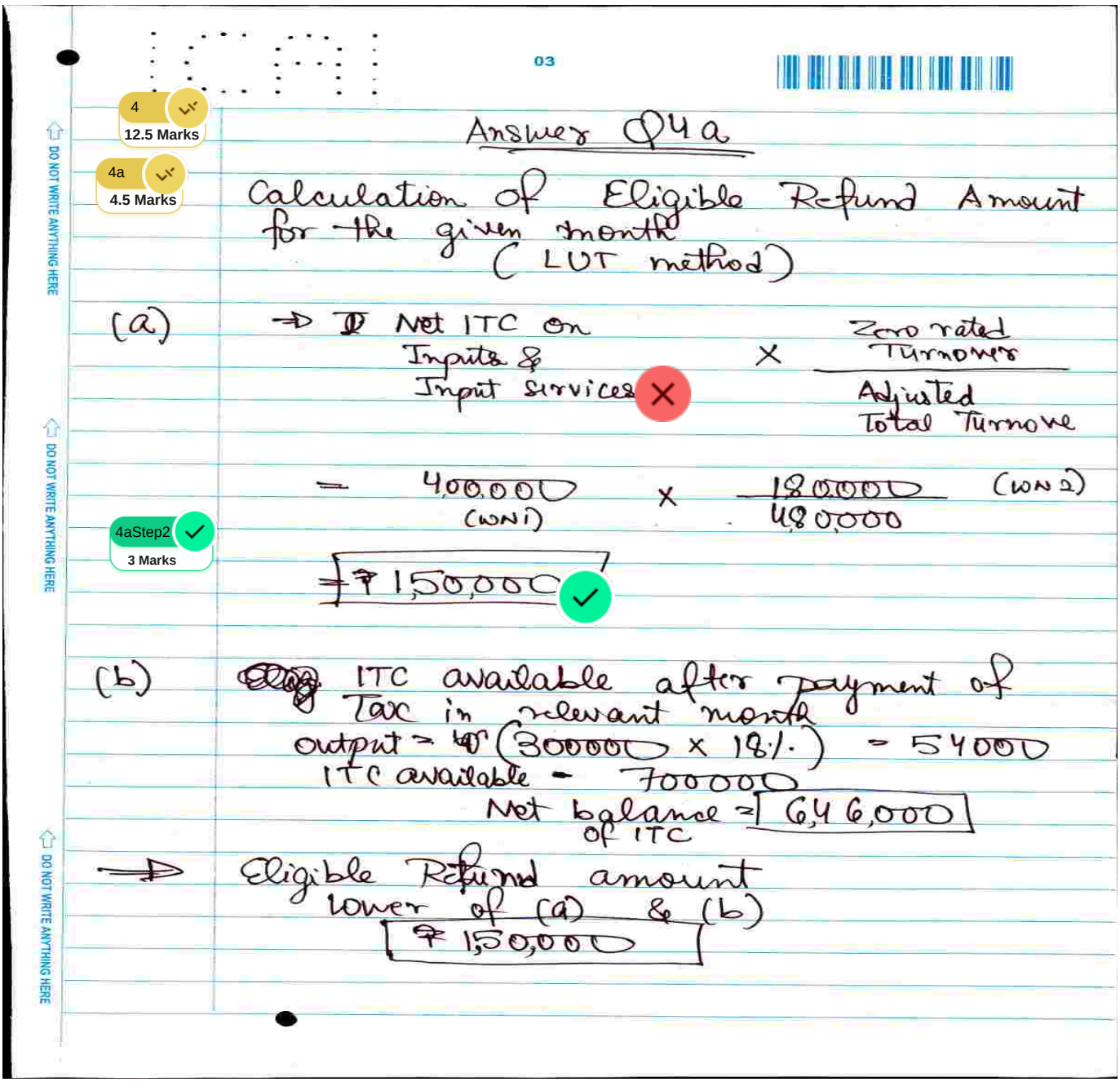
6. Rough work must NOT be done on the OMR cover page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD	WRONG METHOD
Ⓐ ● Ⓒ Ⓓ	✗ ⊘ ◉ ○

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	



03

4 LT 12.5 Marks

4a LT 4.5 Marks

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Answer Q4 a

Calculation of Eligible Refund Amount for the given month (LUT method)

(a) ⇒ Net ITC on Inputs & Input Services × Zero rated Turnover / Adjusted Total Turnover

= 4,00,000 (WN1) × 18,00,000 / 48,00,000 (WN2)

4aStep2 3 Marks

= ₹ 1,50,000

(b) ITC available after payment of Tax in relevant month

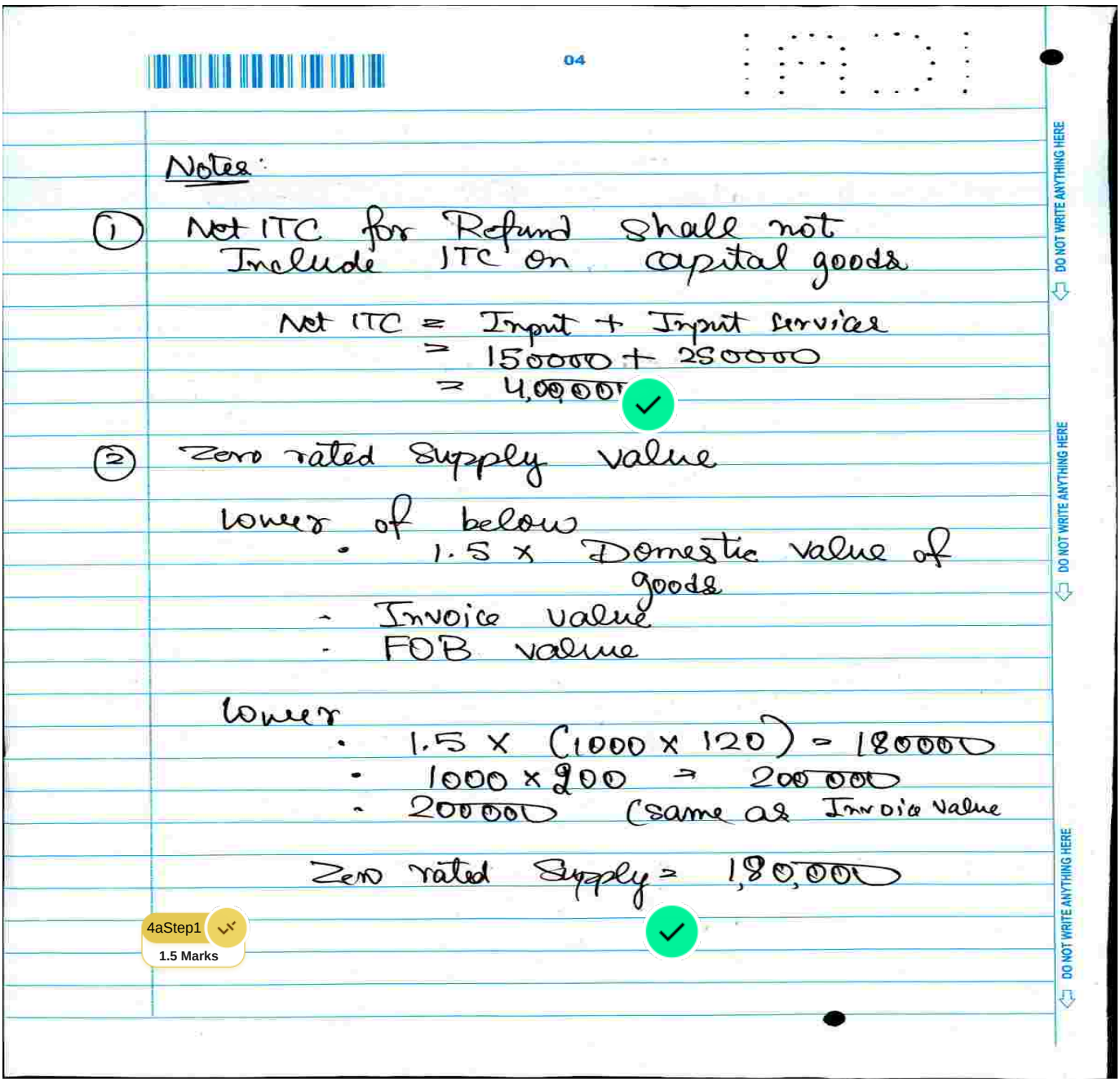
output = ₹ (3000000 × 18%) = 54000

ITC available = 700000

Net balance of ITC = 6,46,000

⇒ Eligible Refund amount lower of (a) & (b)

₹ 1,50,000



04

Notes:

(1) Net ITC for Refund shall not Include ITC on capital goods

Net ITC = Input + Input Services
= 150000 + 250000
= 4,00,000

(2) Zero rated Supply value

lower of below
- 1.5 x Domestic value of goods
- Invoice value
- FOB value

lower
- 1.5 x (1000 x 120) = 180000
- 1000 x 200 = 200000
- 200000 (same as Invoice value

Zero rated Supply = 1,80,000

4aStep1
1.5 Marks

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05

(2) Adjusted Total Turnover

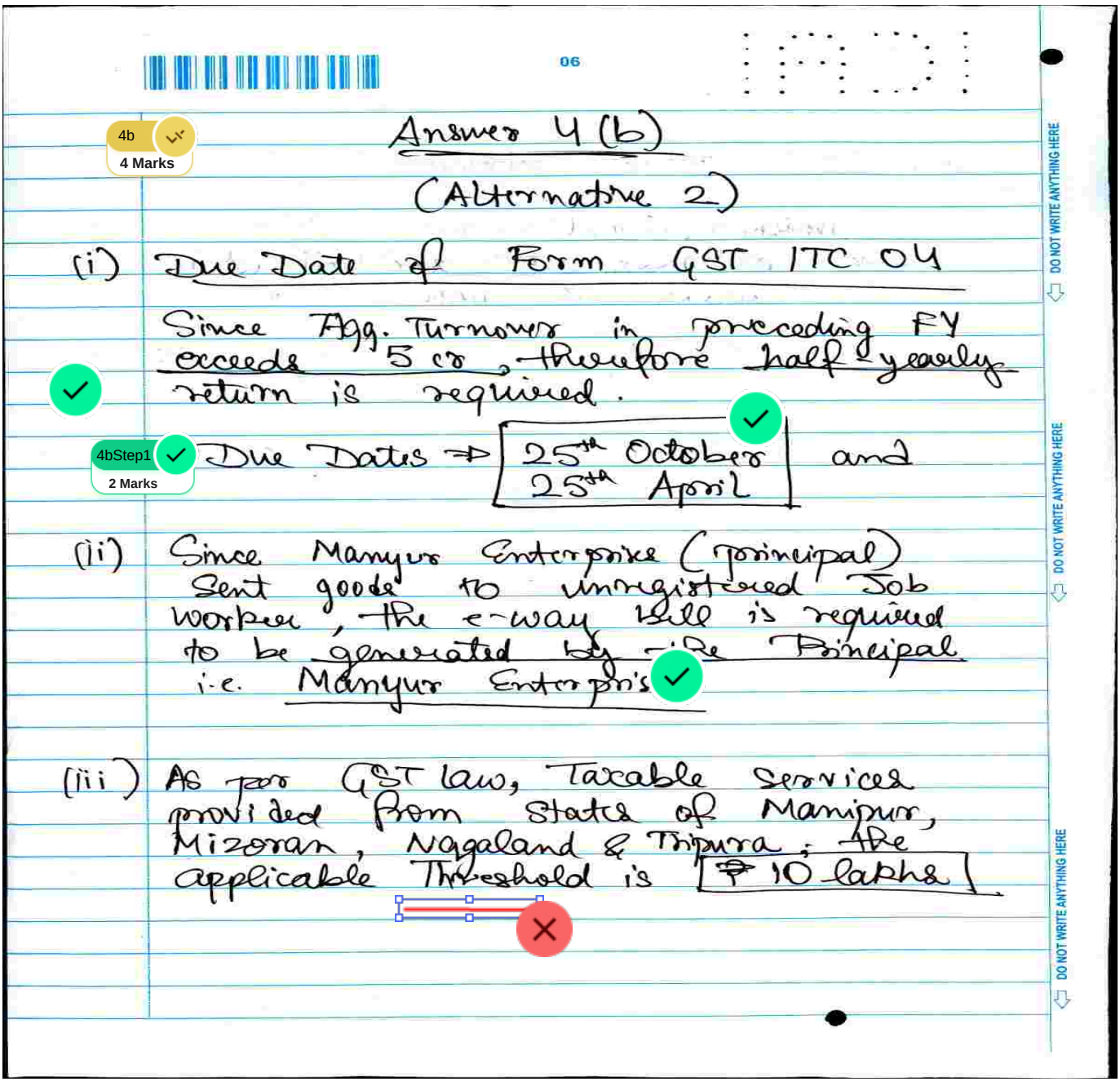
Zero rated Turnover = 180000
Other Turnover = 120 x 2500
→ 3,00,000

Total Adj. Turnover = 300000 + 180000
= 4,80,000

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06

4b
4 Marks

Answer 4 (b)

(Alternative 2)

(i) Due Date of Form GST ITC 04

Since Agg. Turnover in preceding FY exceeds 5 cr, therefore half yearly return is required.

4bStep1
2 Marks

Due Dates ⇒ 25th October and 25th April

(ii) Since Manyur Enterprise (principal) sent goods to unregistered Job worker, the e-way bill is required to be generated by the Principal i.e. Manyur Enterprise

(iii) As per GST law, Taxable services provided from States of Manipur, Mizoram, Nagaland & Tripura, the applicable Threshold is ₹ 10 lakhs

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07

4bStep2
2 Marks

Since, Agg. Turnover of Kechime Enterprises is 9 lakhs which is within the Threshold limit,

→ NO need to take Registration under GST law.

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Code:	FN5IT876888	**Total Marks:**	70
Subject :	05 Indirect Tax Laws	**Marks Obtained :**	57

08

4c ✓ 4 Marks

Answer Q4 c

As per Custom Act, 1962; where the duty becomes Payable in provisional assessment done, on account of final assessment, the Interest shall be applicable [@ 15% ✓] from the 1st day of the provisional assessment month till the date of Payment of duty demanded ✓

4cStep1 ✓ 2 Marks

1st day of month of provisional assessment = 1st July 2025

Date of Payment = 10th Oct 2025

Days = 31 + 31 + 30 + 10 ✓
= 102 days

Interest Payable = 400000 × 15% × $\frac{102}{365}$

= 16767.12

or

4cStep2 ✓ 2 Marks ✓ ₹16,767

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09

3 10 Marks

3a 3 Marks

Answer 3a

(1) Since Residential house is given by Mr. Pathi to Cuteex Pvt Ltd. (Registered) then the GST is payable on Reverse charge mechanism (RCM) ✓

Time of supply [u/s 13] of CGST Act, 2017 in case of RCM

- Payment date for Receipient (earlier of credit in books & actual ~~credit~~ ~~bob~~ debit in Bank.
  i.e.
  15th Oct 2025 or 14th Oct 2025)
  Payment date = 14th Oct 2025
- 61st day from Invoice by supplier (since supplier is registered)
  Date of Invoice = 31st July 2025
  61st day = 30th Sept 2025

3aStep1 1 Marks

Whichever is earlier ✓

Time of supply is 30th Sept 2025

(ii) As per GST circular, Telecom network Services wrt to right to use ~~Spectrum~~ Spectrum from Govt of India is taxable on Reverse charge Mechanism The Time of Supply shall be as follows:

Since it is continuous supply of services, the due date of Payment shall be the due date of Issue of the Invoice as per the circular.

The Time of supply shall be due date of Payment or actual date of payment, whichever is earlier as per Circular.

Time of supply is earlier of
- 19th Oct 2025
- 20th Oct 2025

3aStep2 ✓
2 Marks

i.e. 19th Oct 2025

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(The above ans is based on the Circular which is based on the Invoice to be Issued by Supplier.

As per latest provisions, if the Invoice is required to be ~~In~~ Issued by Recepient then the due date of Invoice is 30th day from Receipient of Services.

However, the continuous supply of services, the due date of Invoice is ~~the due date of~~ Payment where ascertainable)

3b
5 Marks

Answer 3 b

(i) As per GST circular, penal charges levied by Bank are in nature of liquidated Damages.
As per RBI guidelines, Banks are required to charge Penal charges in case of ~~delay~~ default, which in essence are Penal Interest.

Applying the above provisions of GST law, the penal charges collected by Bank are [not liable] for GST as per the circular reason being they are in nature of liquidated Damages (which is not a supply of goods or services)

3bStep1
2 Marks

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13

(ii) As per GST law, certain services are liable to taxed in hands of Eco operator u/s 9(5) of CGST Act, 2017

→ The liability shall be paid through electronic cash ledger only.

ITC can't be utilized for the same.

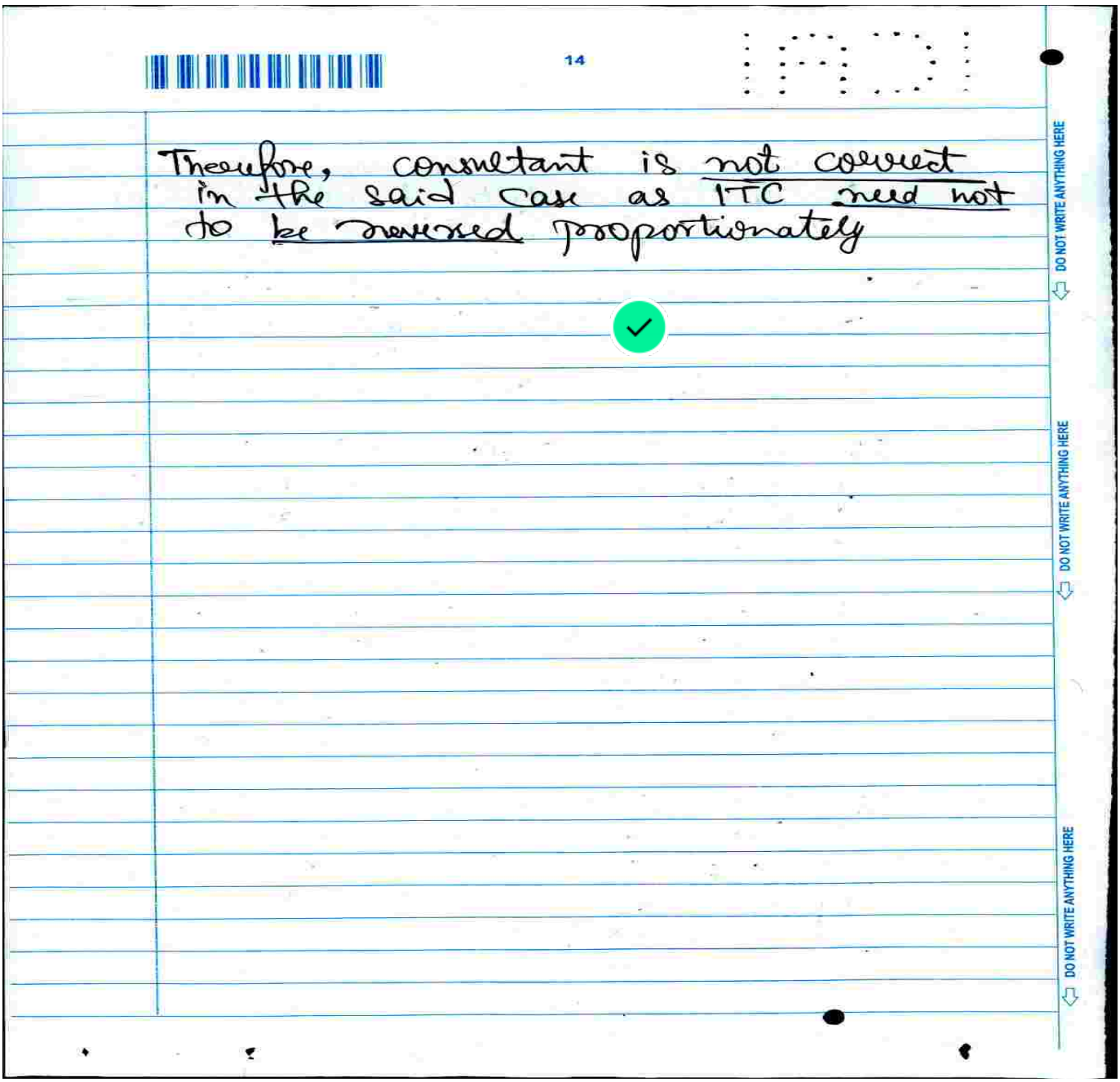
Therefore, the consultant's view is not correct as the liability will be discharged from cash ledger only.

→ Since the eco avail availe various input tax credits (ITC) for the services, the same can be utilized for the services provided by the Eco.

3bStep2
3 Marks

The ITC will not reversed due to the 9(5) services provisions where liability is discharged by eco operation

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14

Therefore, consultant is not correct in the said case as ITC need not to be reversed proportionately

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3c
2 Marks

Answer 3c

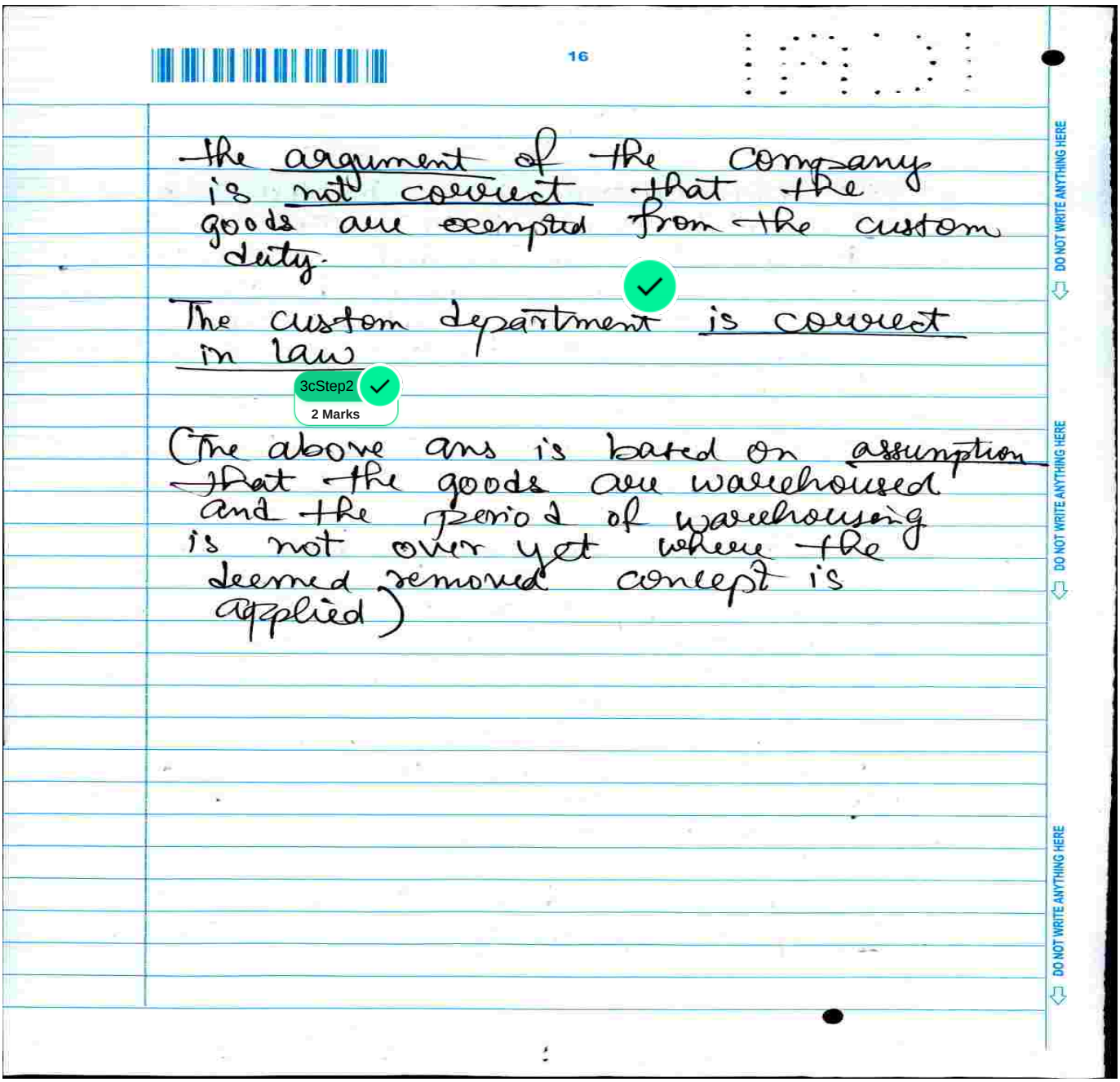
As per Custom Law, in case where imported goods are warehoused in the custom bonded warehouses; the custom duty shall be payable on the rate applicable when ex-bond Bill of entry is filed by the Importer

As per the case law, the Import of goods is completed when the goods become land mass of India and the charge of duty is payable on the date when ex-bond bill of entry is filed and the rate applicable on that date is applicable.

3cStep1
0 Marks

In the given case, the goods are removed from the warehouse on 25th Sept 2025 when the duty is applicable @25%.

Therefore, the duty will be applicable [@25%] in the given case and



16

the argument of the company is not correct that the goods are exempted from the custom duty.

The custom department is correct in law

3cStep2
2 Marks

(The above ans is based on assumption that the goods are warehoused and the period of warehousing is not over yet where the deemed removed concept is applied)

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17

Answer Q 1

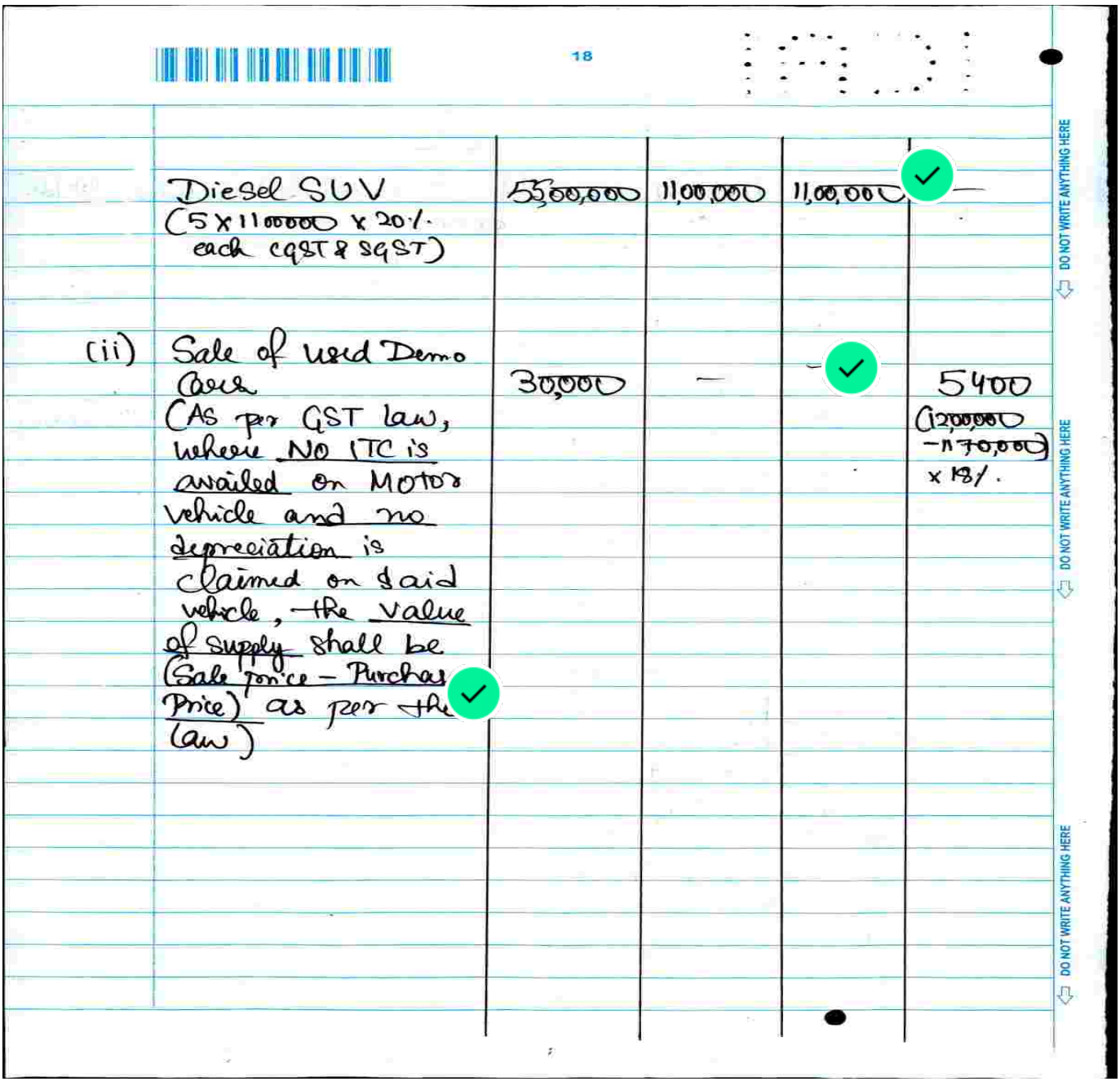
1 11.5 Marks

Computation of Zaveri Automobiles Pvt Ltd. for Oct 2025

Outward Statement	Value	CGST	SGST	IGST
(i) Sale of cars				
Petrol cars (18% IGST) (650000 x 10 x 18%)	6500000	—	—	11,70,000
Electric cars (8 x (850000 + 50000) x 2.5%) CGST and SGST each	72,00,000	180000	180000	—

1Step1 2.5 Marks

As per GST law, extended warranty provided by same supplier, at the time of sale of original cars are treated as composite supply principal supply being Sale of cars and GST shall be payable as per rate applicable to Sale of cars i.e. 2.5% each CGST & SGST)



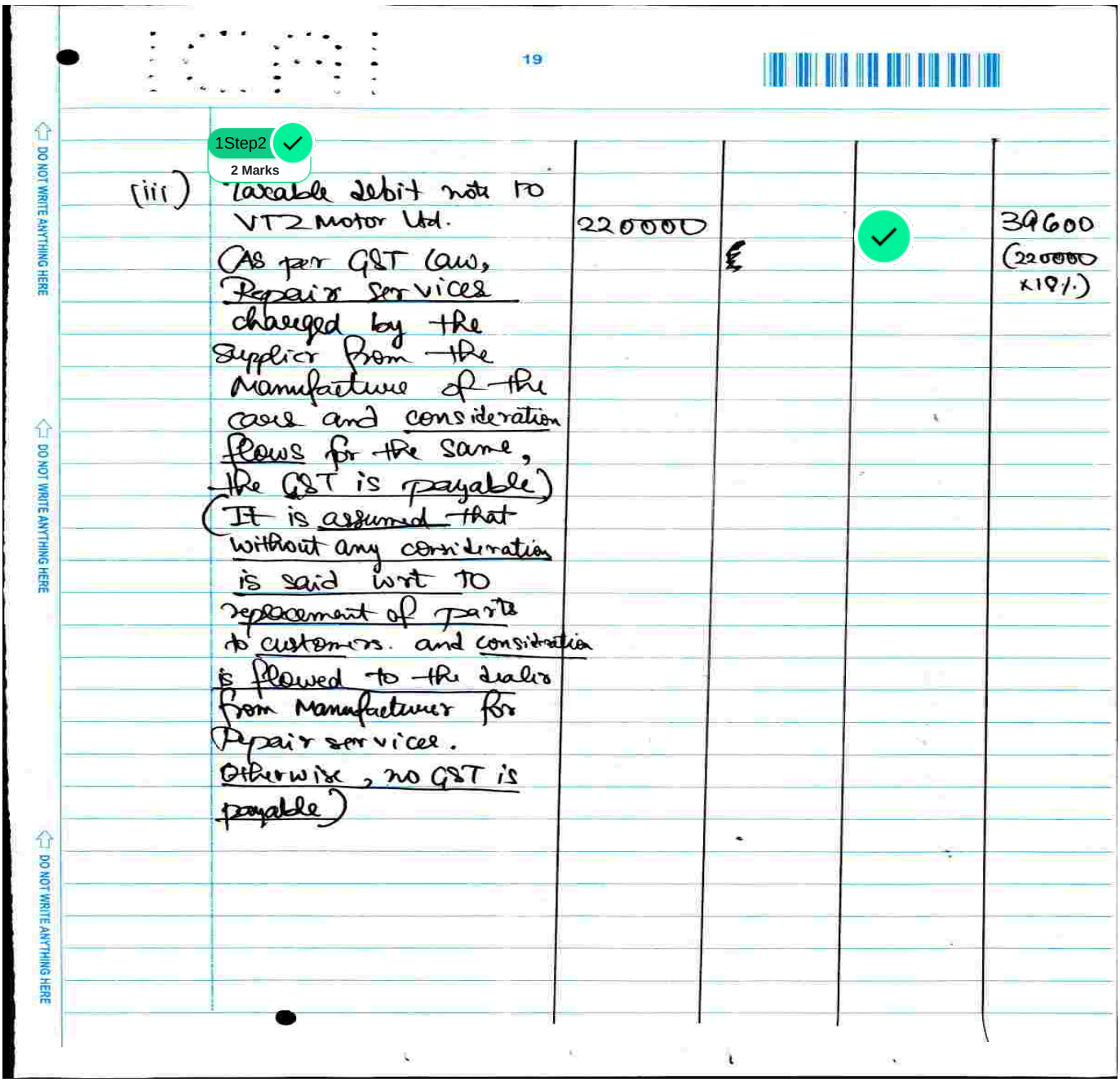
18

	Diesel SUV (5 x 1100000 x 20% each CGST & SGST)	5500,000	11,00,000	11,00,000 ✓	—
(ii)	Sale of used Demo Cars (As per GST law, where NO ITC is availed on Motor Vehicle and no depreciation is claimed on said vehicle, the value of supply shall be (Sale price – Purchase Price) as per the law) ✓	30,000	—	— ✓	5400 (2,00,000 – 1,70,000) x 18%

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19

1Step2 ✓
2 Marks

(iii) Taxable debit note to VT2 Motor Ltd. — 220000 — ₹ — ✓ — 39600 (220000 x 18%)

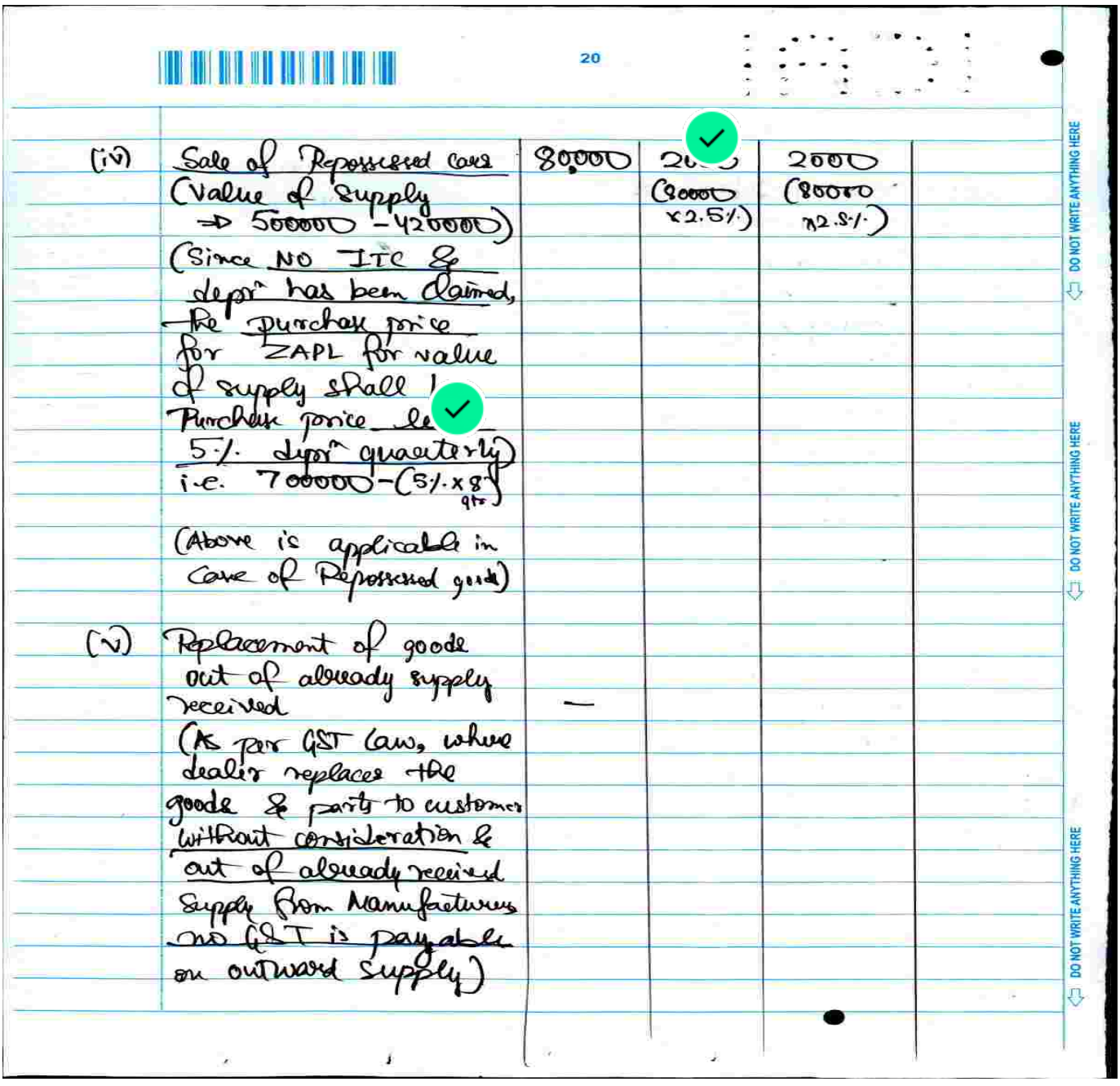
(As per GST laws, Repair services charged by the supplier from the Manufacturer of the cars and consideration flows for the same, the GST is payable)

(It is assumed that without any consideration is said wrt to replacement of parts to customers. and consideration is flowed to the dealer from Manufacturer for Repair services. Otherwise, no GST is payable)

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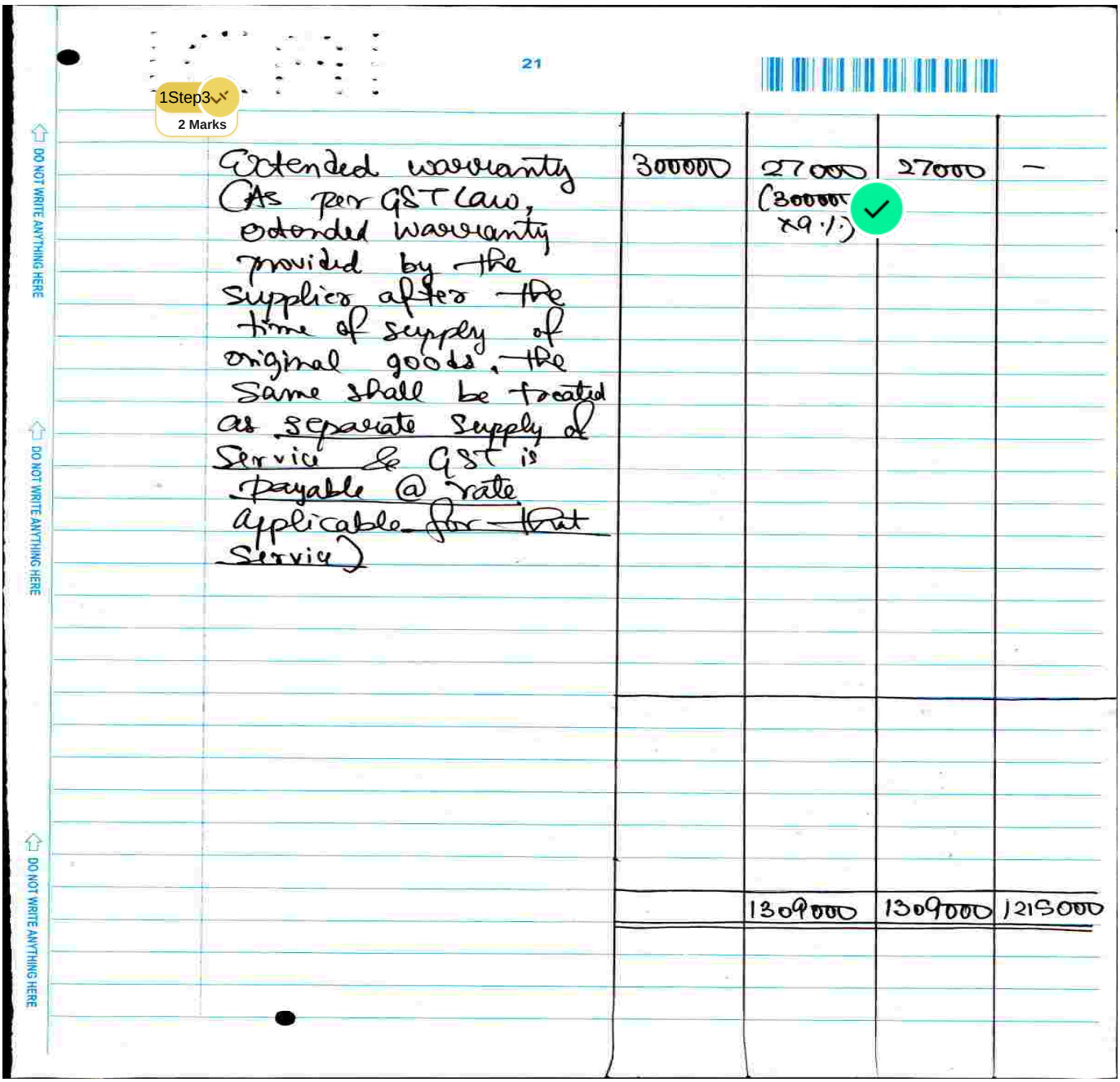
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(iv)	Sale of Repossessed cars (Value of supply → 500000 - 420000) (Since NO ITC & depr^n has been claimed, the purchase price for ZAPL for value of supply shall be Purchase price less 5% depr^n quarterly) i.e. 700000 - (5% x 8 qtr) (Above is applicable in case of Repossessed goods)	80,000	2[illegible] (80000 x 2.5%)	2000 (80000 x 2.5%)
(v)	Replacement of goods out of already supply received (As per GST laws, where dealer replaces the goods & parts to customer without consideration & out of already received supply from Manufacturers no GST is payable on outward supply)	—		

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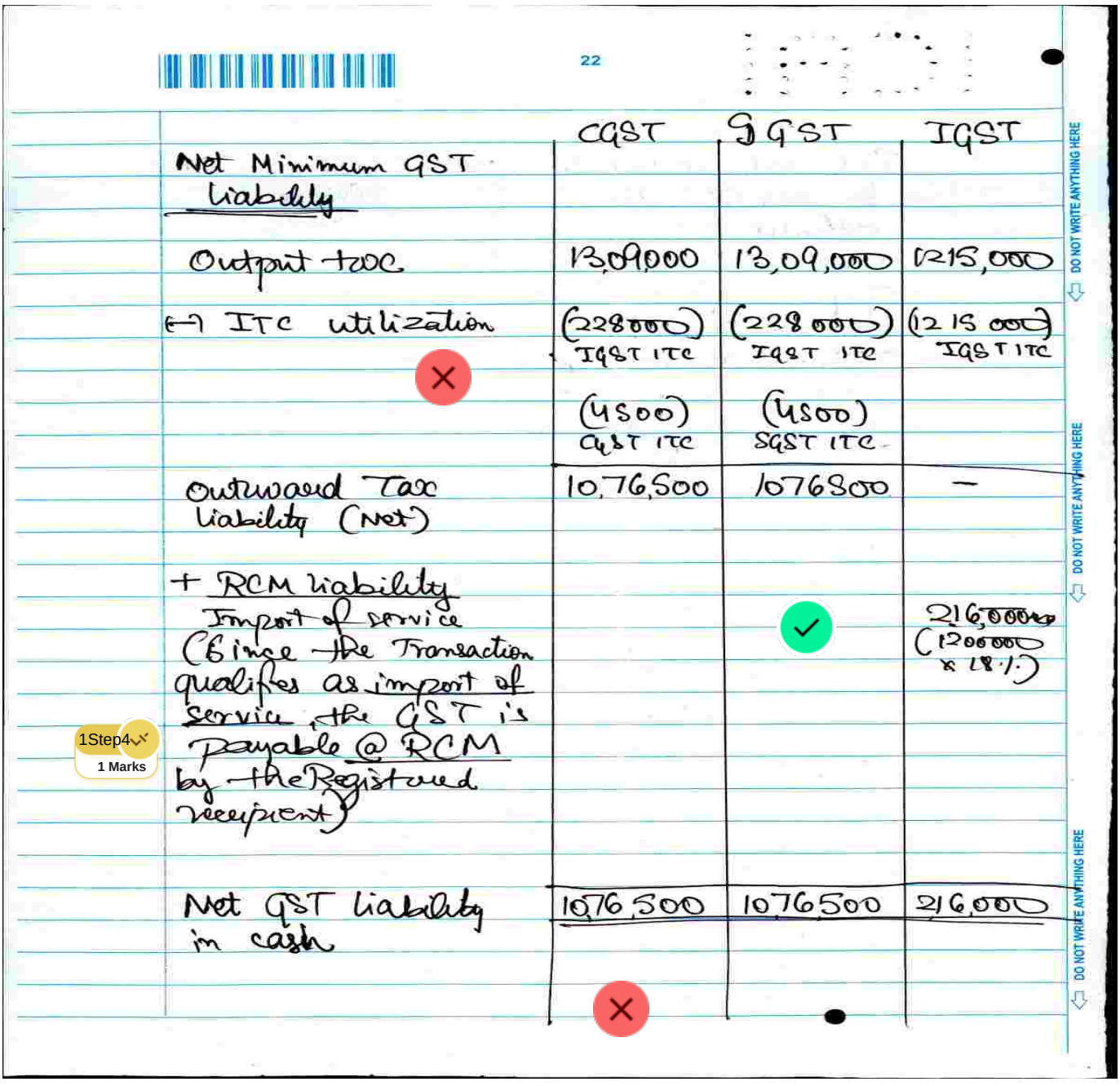
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1Step3 ✓
2 Marks

Extended warranty
(As per GST Law, extended warranty provided by the supplier after the time of supply of original goods, the same shall be treated as separate supply of service & GST is payable @ rate applicable for that service)

300000	27000 (300000 x 9%)	27000	—
	1309000	1309000	1215000

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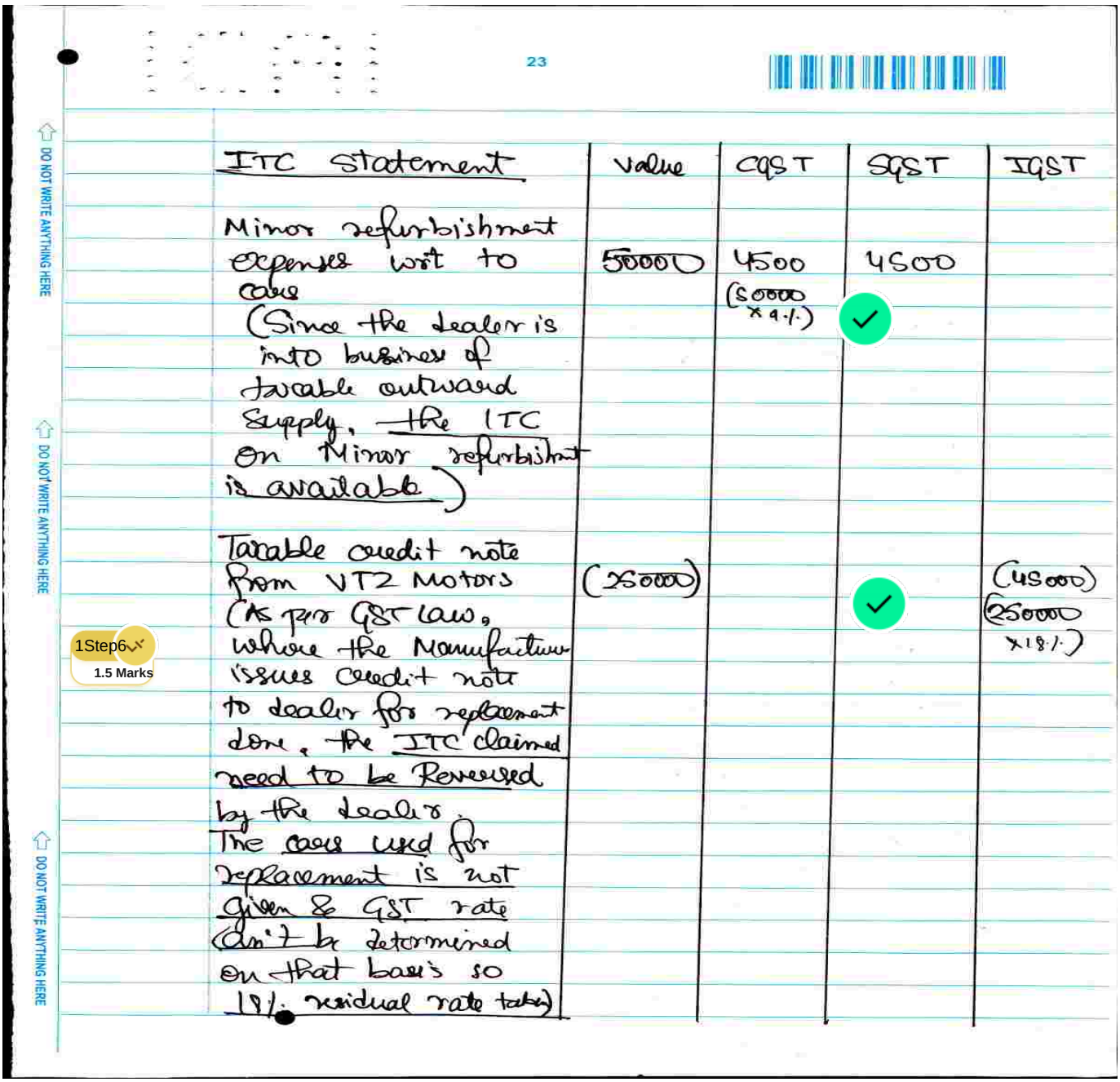


22

	CGST	SGST	IGST
Net Minimum GST Liability			
Output tax	13,09,000	13,09,000	12,15,000
↔ ITC utilization	(228000) IGST ITC	(228000) IGST ITC	(12,15,000) IGST ITC
	(4500) CGST ITC	(4500) SGST ITC	
Outward Tax Liability (Net)	10,76,500	1076500	—
+ RCM liability Import of service (Since the Transaction qualifies as import of service, the GST is payable @ RCM by the Registered recipient)			216,000 (1200000 × 18%)
Net GST liability in cash	1076500	1076500	216,000

1Step4 1 Marks

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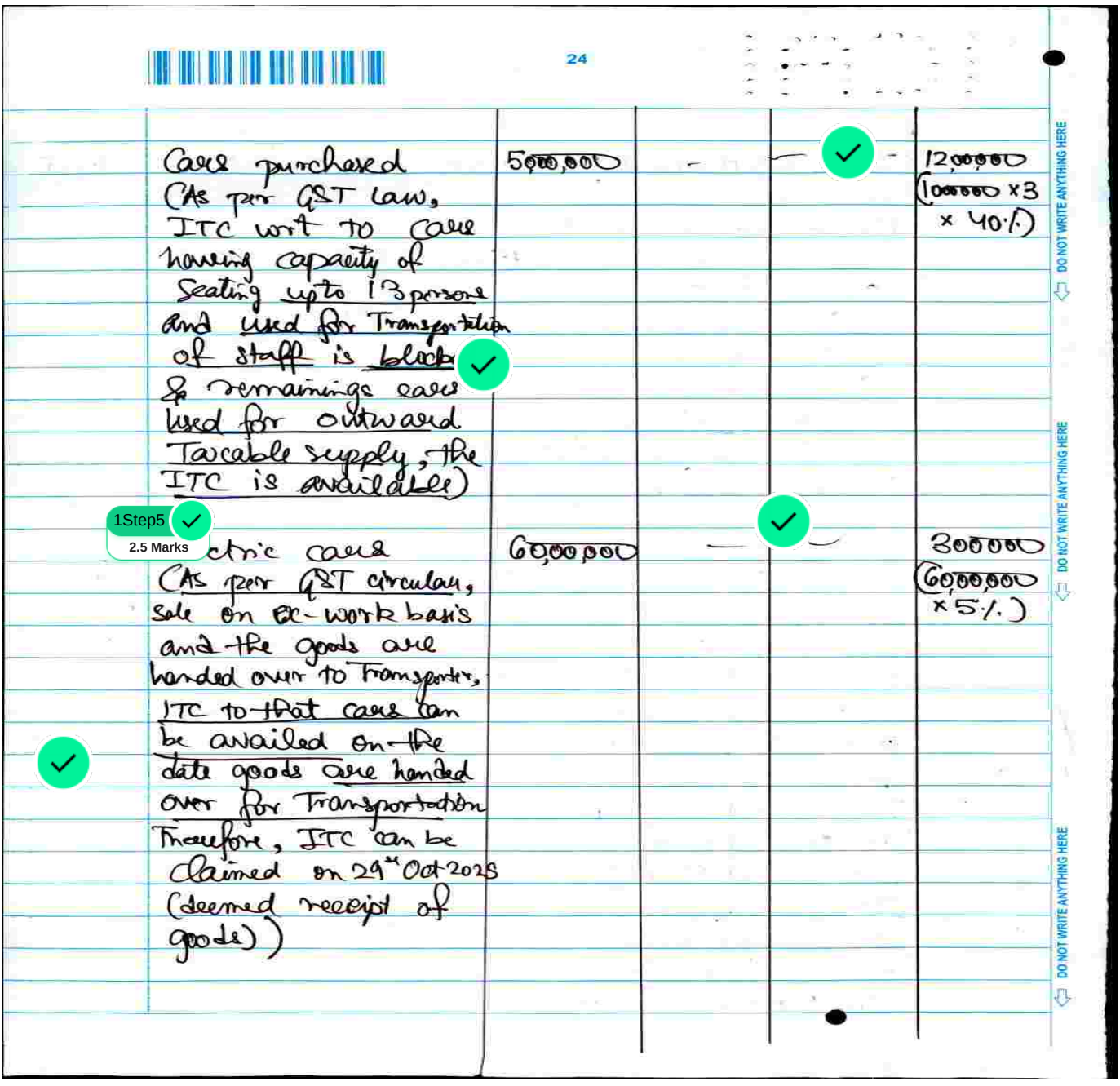
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ITC Statement	Value	CGST	SGST	IGST
Minor refurbishment expenses wrt to cabs (Since the dealer is into business of taxable outward supply, the ITC on Minor refurbishment is available)	50000	4500 (50000 x 9%)	4500	
Taxable credit note from VT2 Motors (As per GST laws, where the Manufacturer issues credit note to dealer for replacement done, the ITC claimed need to be Reversed by the dealer. The cars used for replacement is not given & GST rate can't be determined on that basis so 18% residual rate taken)	(25000)			(45000) (250000 x 18%)

1Step6
1.5 Marks



24

Cars purchased (As per GST law, ITC w.r.t to cars having capacity of seating upto 13 persons and used for Transportation of staff is block & remainings cars used for outward Taxable supply, the ITC is available)

5,00,000 — — 12,00,000 (1000000 x 3 x 40%)

1Step5 2.5 Marks

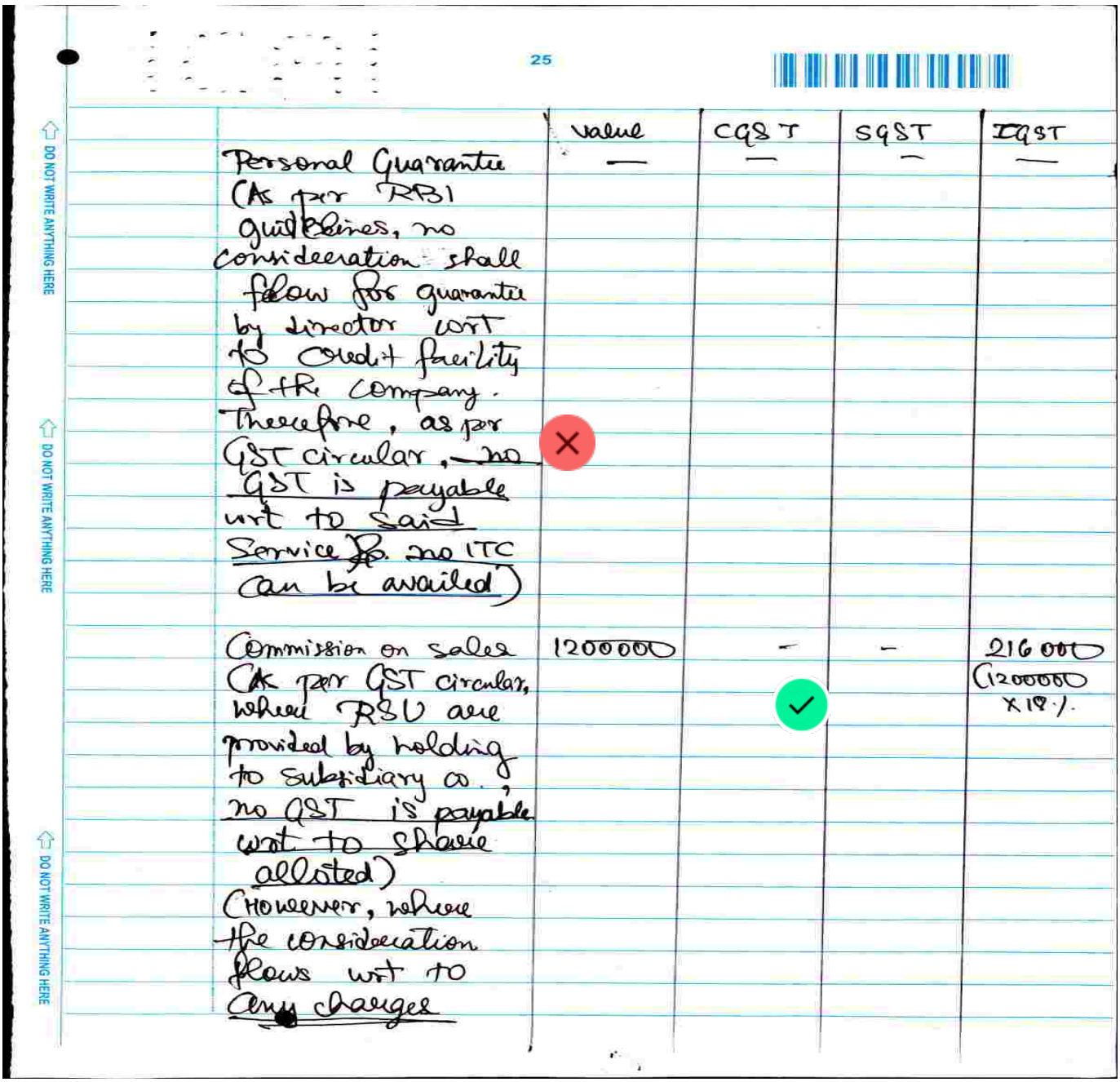
Electric cars (As per GST circular, sale on Ex-work basis and the goods are handed over to Transporter, ITC to that cars can be availed on the date goods are handed over for Transportation Therefore, ITC can be claimed on 29th Oct 2023 (deemed receipt of goods))

60,00,000 — — 300000 (60,00,000 x 5%)

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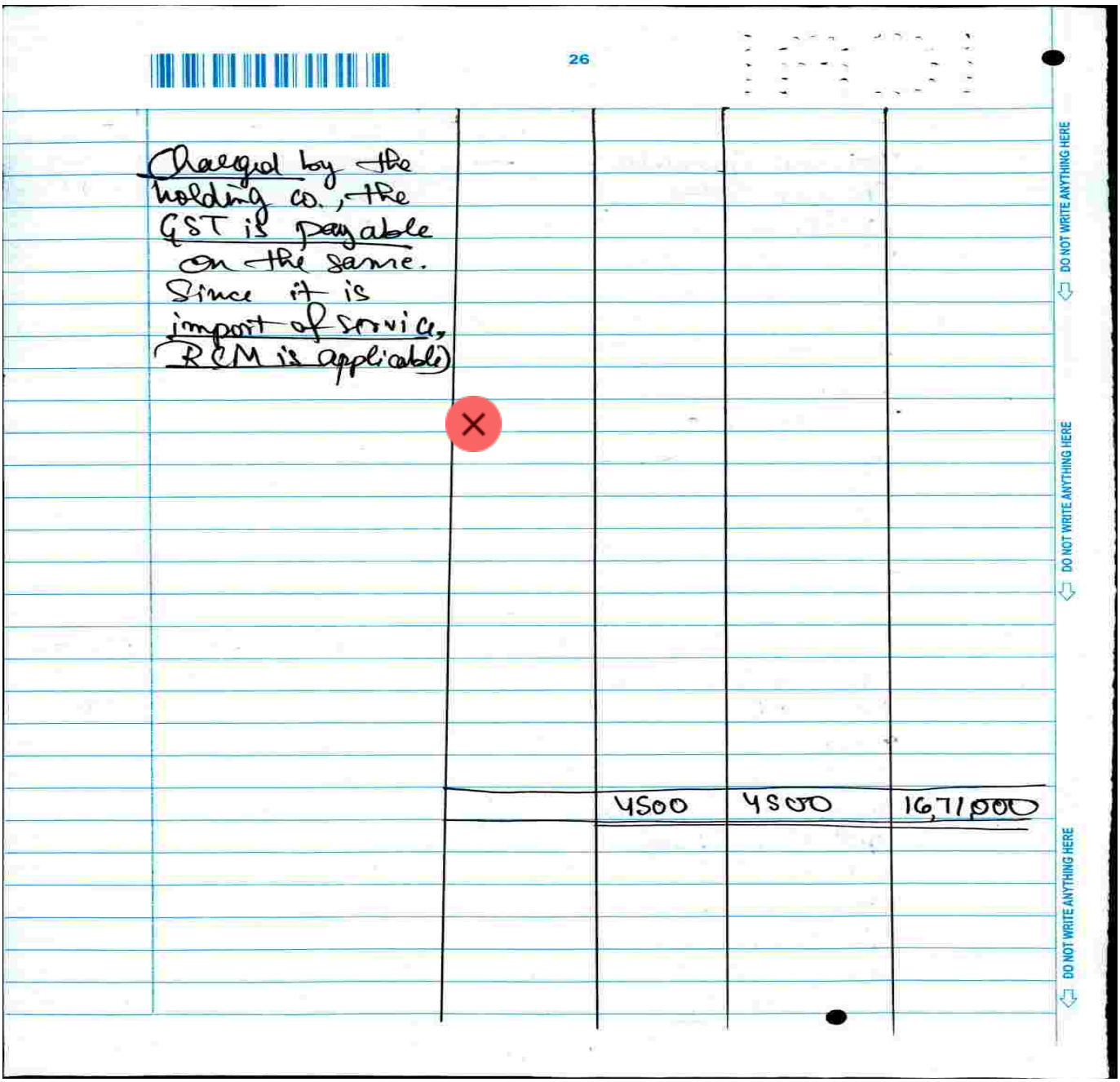
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	Value	CGST	SGST	IGST
Personal Guarantee (As per RBI guidelines, no consideration shall flow for guarantee by director wrt to credit facility of the company. Therefore, as per GST circular, no GST is payable wrt to said service & no ITC can be availed)	—	—	—	—
Commission on sales (As per GST circular, where RSU are provided by holding to subsidiary co., no GST is payable wrt to shares allotted) (However, where the consideration flows wrt to any charges	1200000	-	-	216000 (1200000 x 18%)



26

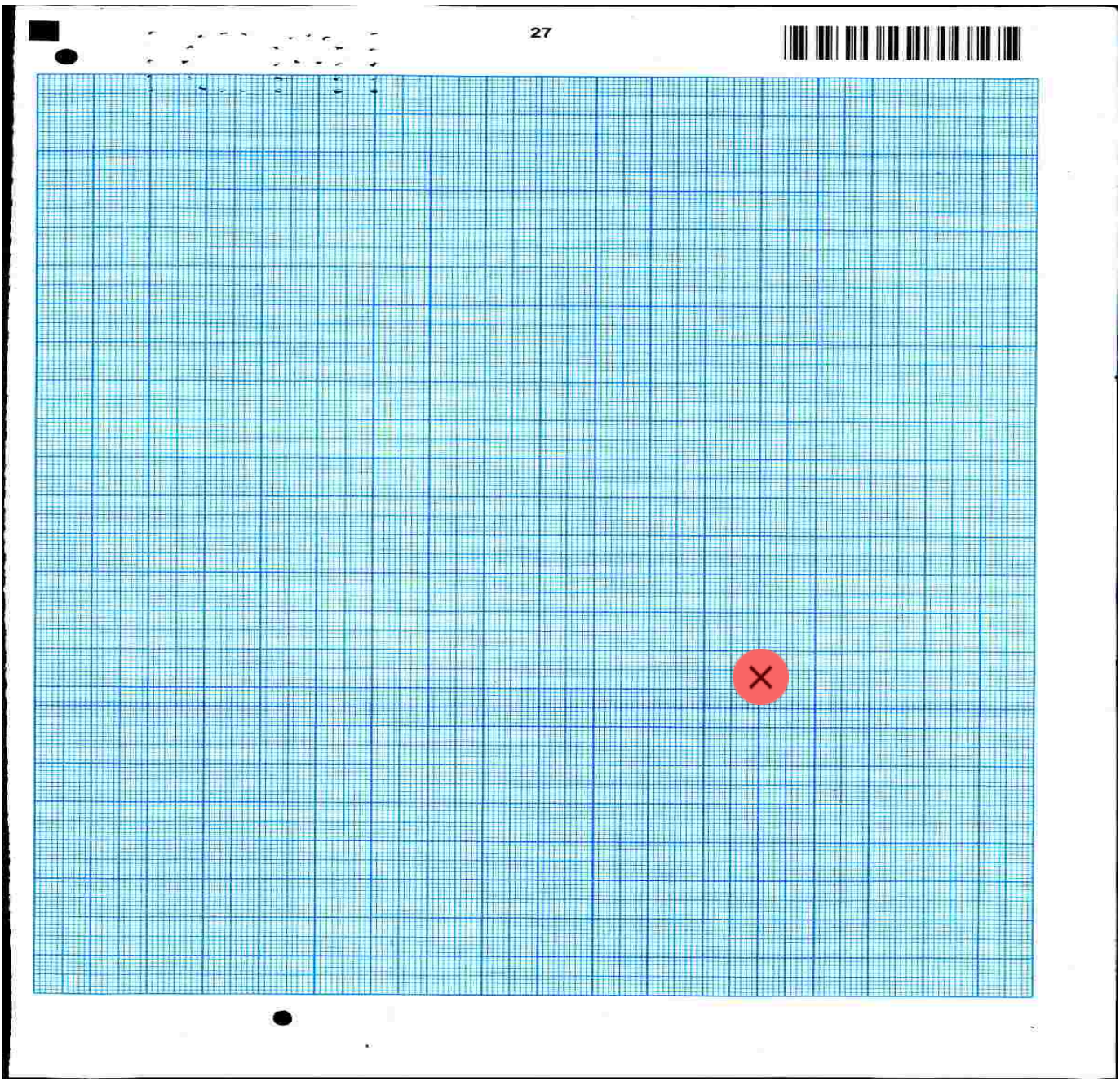
Charged by the holding co., the GST is payable on the same. Since it is import of service, RCM is applicable)

4500	4500	16,71,000

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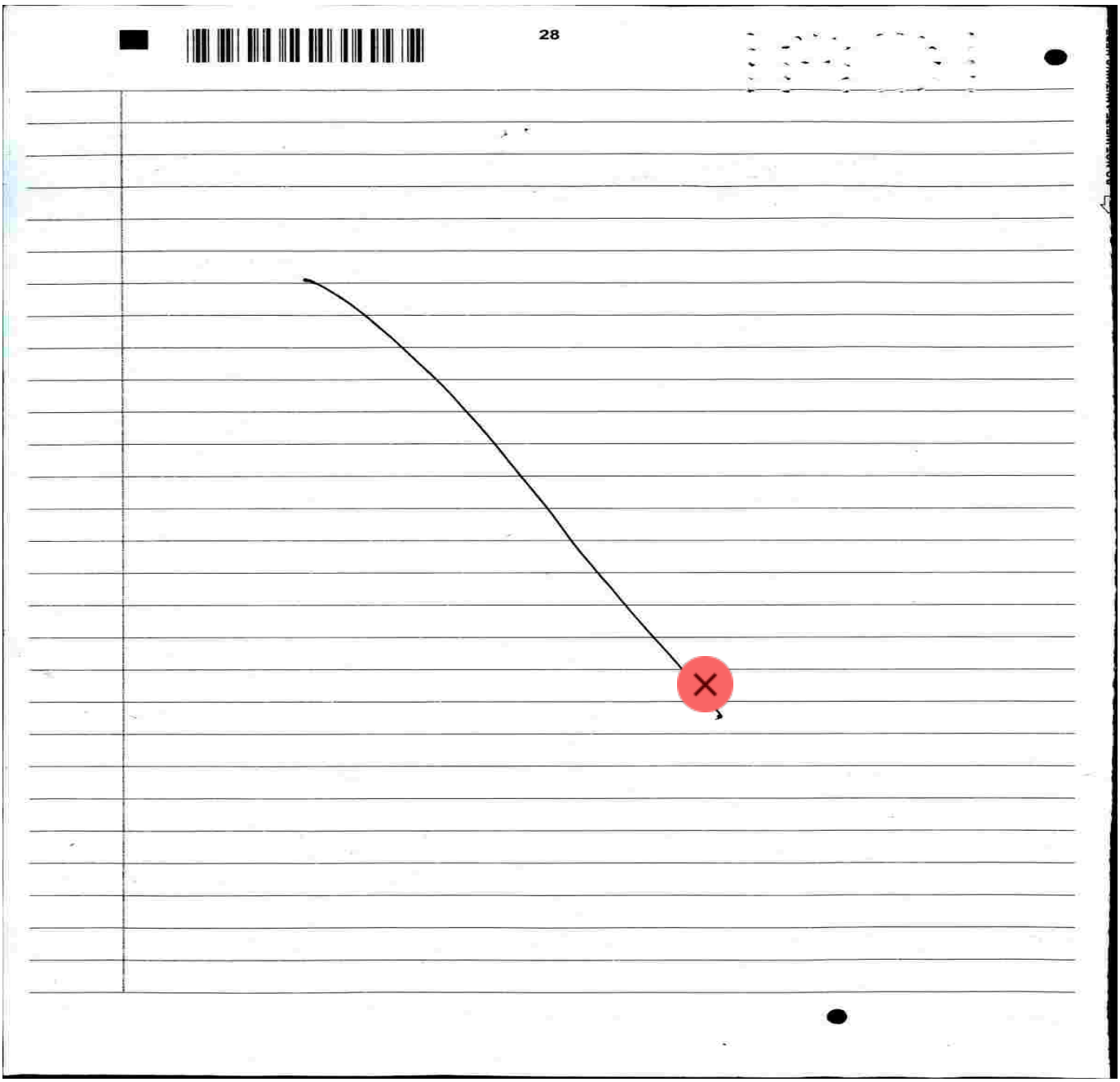
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5876888-01

Addl. Book No. 1

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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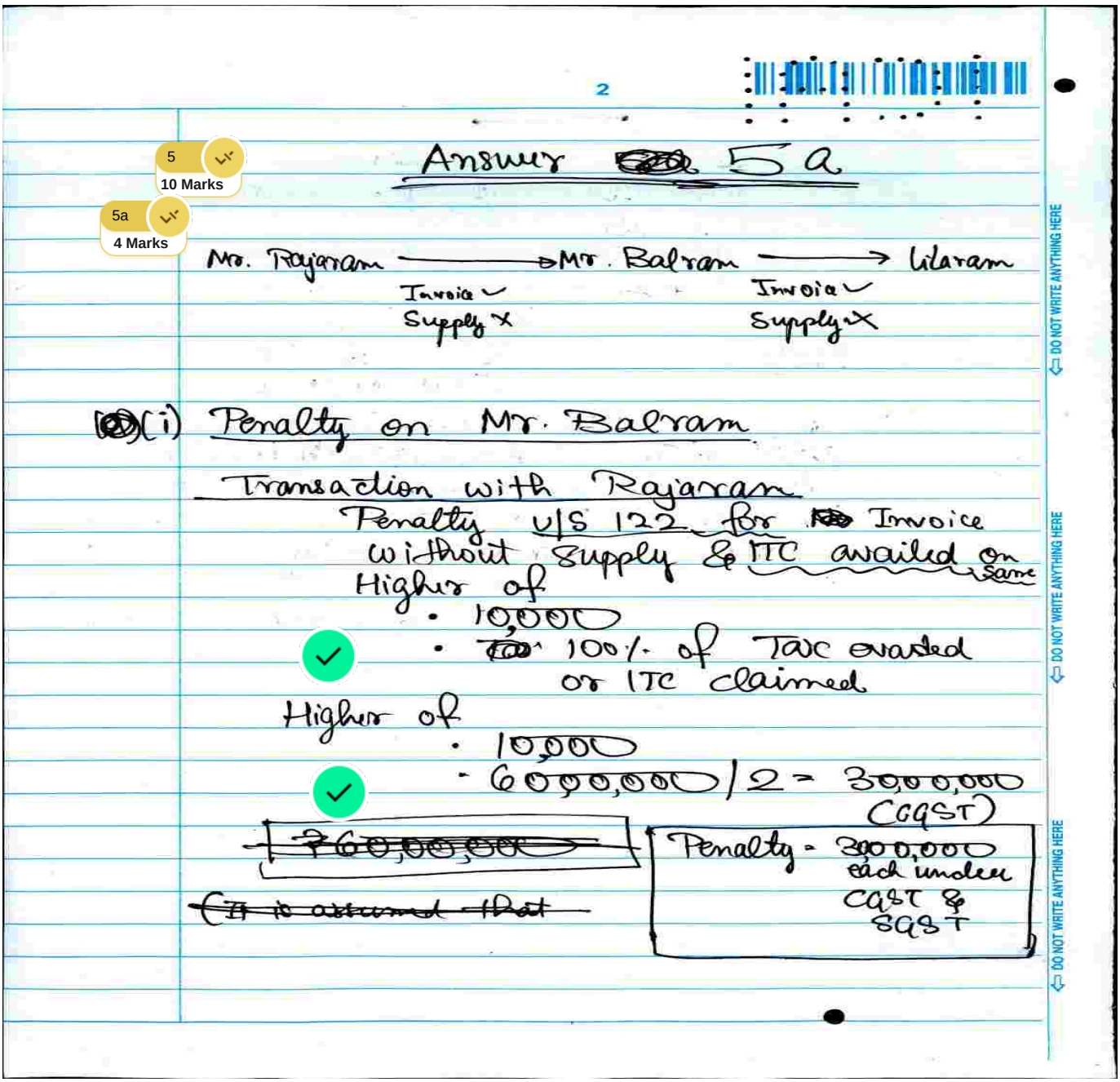
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Note :

(1) ITC of IGST remaining can be utitized in alternative manner as allowed by the GST Law The Ans will change accordingly.



2

5 ✓ 10 Marks

5a ✓ 4 Marks

Answer 5a

Mr. Rajaram → Mr. Balram → Lilaram
Invoice ✓ Supply ✗ Invoice ✓ Supply ✗

(i) Penalty on Mr. Balram

Transaction with Rajaram
Penalty u/s 122 for Invoice without Supply & ITC availed on same
Higher of
- 10,000
- 100% of Tax evaded or ITC claimed

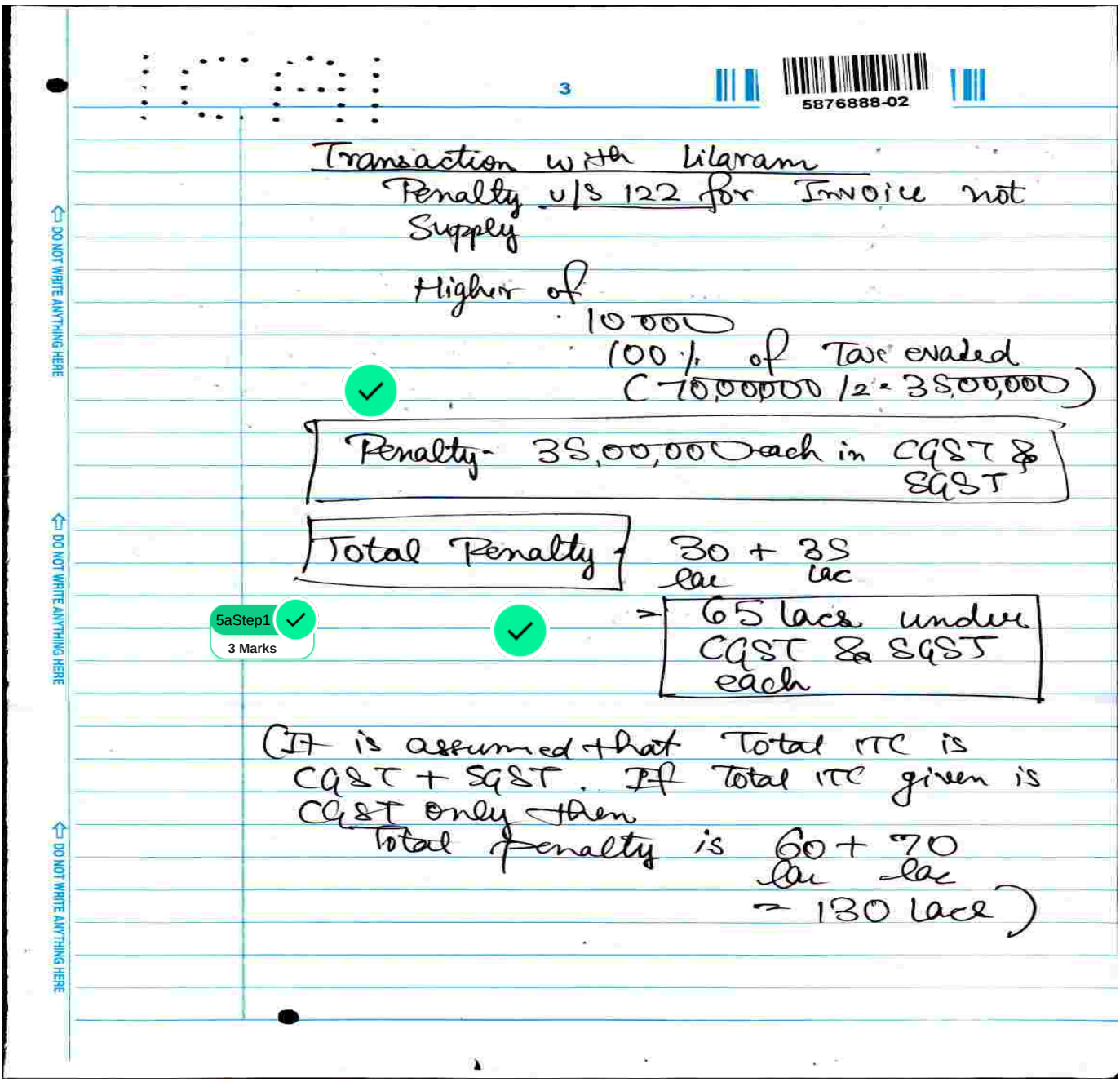
Higher of
- 10,000
- 60,00,000/2 = 30,00,000 (CGST)

~~₹60,00,000~~

~~(It is assumed that~~

Penalty = 30,00,000 each under CGST & SGST

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3

5876888-02

Transaction with Lilaram

Penalty u/s 122 for Invoice not Supply

Higher of

- 10000
- 100% of Tax evaded (70,00000 /2 = 35,00,000)

Penalty - 35,00,000 each in CGST & SGST

Total Penalty 30 lac + 35 lac

= 65 lacs under CGST & SGST each

5aStep1 ✓ 3 Marks

(It is assumed that Total ITC is CGST + SGST. If Total ITC given is CGST only then Total Penalty is 60 lac + 70 lac = 130 lacs)

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(ii) Since aggregate total evaded amount of Tax is 65 lac x 2 = 130 lacs which is higher than 1 cr limit of 132 (1) (b).

Prosecution u/s 132 (1) (b) for Invoice with no supply and the ITC availed wrongly can be taken as

Jail for 1 yr + fine

(Minimum 6 months is stated for Jail otherwise than reasons available for contrary)

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(iii) Compounding for offences covered u/s 132(1)(b) is not allowed under GST Act.

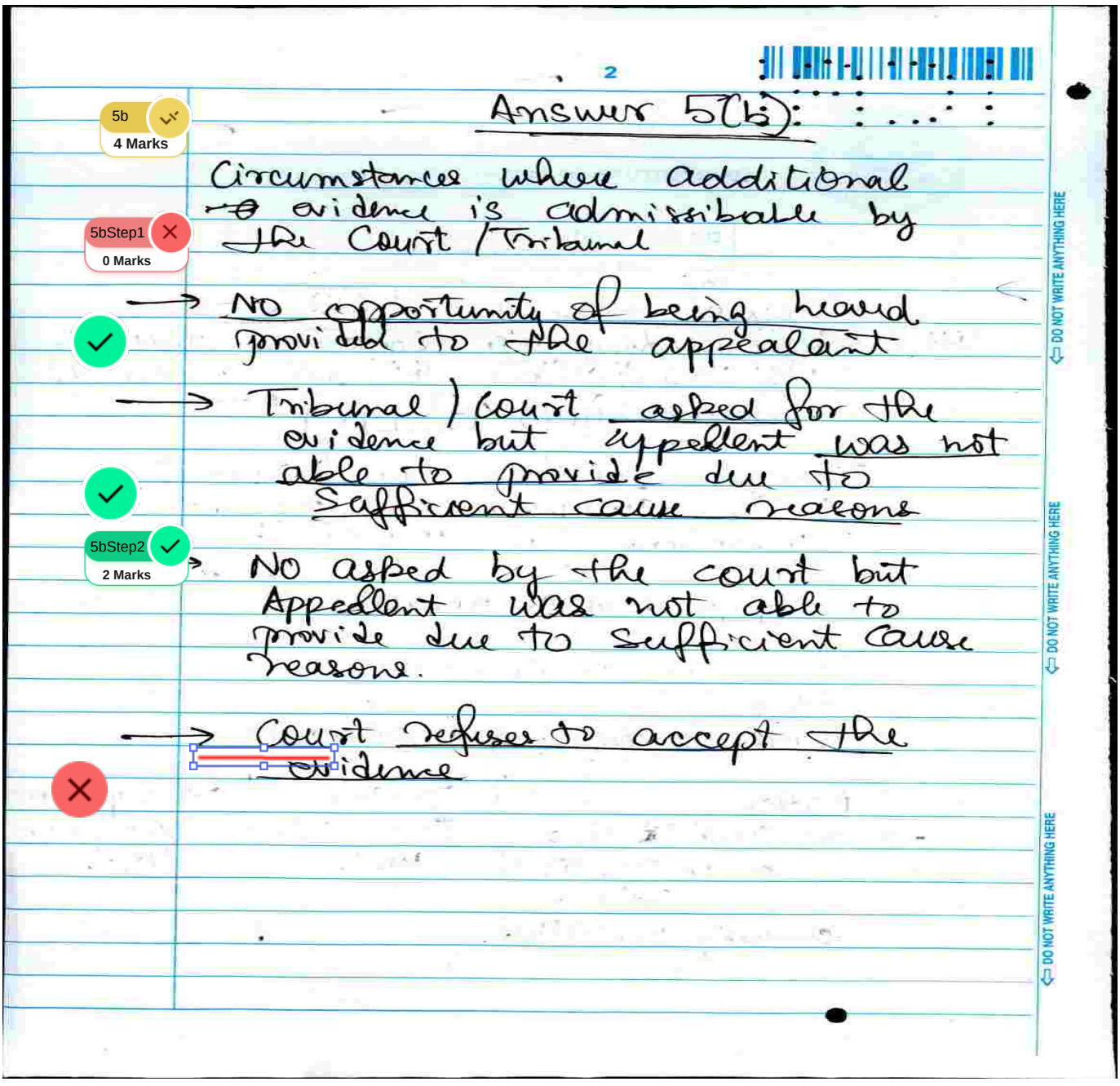
Therefore, Mr. Rajaram cannot claim compounding for offence committed u/s 132(1)(b) of Invoice with no underlying supply

5aStep2
1 Marks

Note

Compounding fees (otherwise)

Matter	> 5 cr	>2 cr upto 5 cr
→ 132(1)(a)(b)(d)(e)	50-75%	40-60%
→ other 132(1) offences excluding 132(1)(b)	40%	40%



2

Answer 5(b):

5b
4 Marks

Circumstances where additional evidence is admissibale by the Court / Tribunal

5bStep1
0 Marks

→ No opportunity of being heard provided to the appealant

→ Tribunal / Court asked for the evidence but appellent was not able to provide due to Sufficient cause reasons

5bStep2
2 Marks

→ No asked by the court but Appellent was not able to provide due to sufficient cause reasons.

→ Court refuses to accept the evidence

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(i) AR forgot to provide the evidence of Bank statement

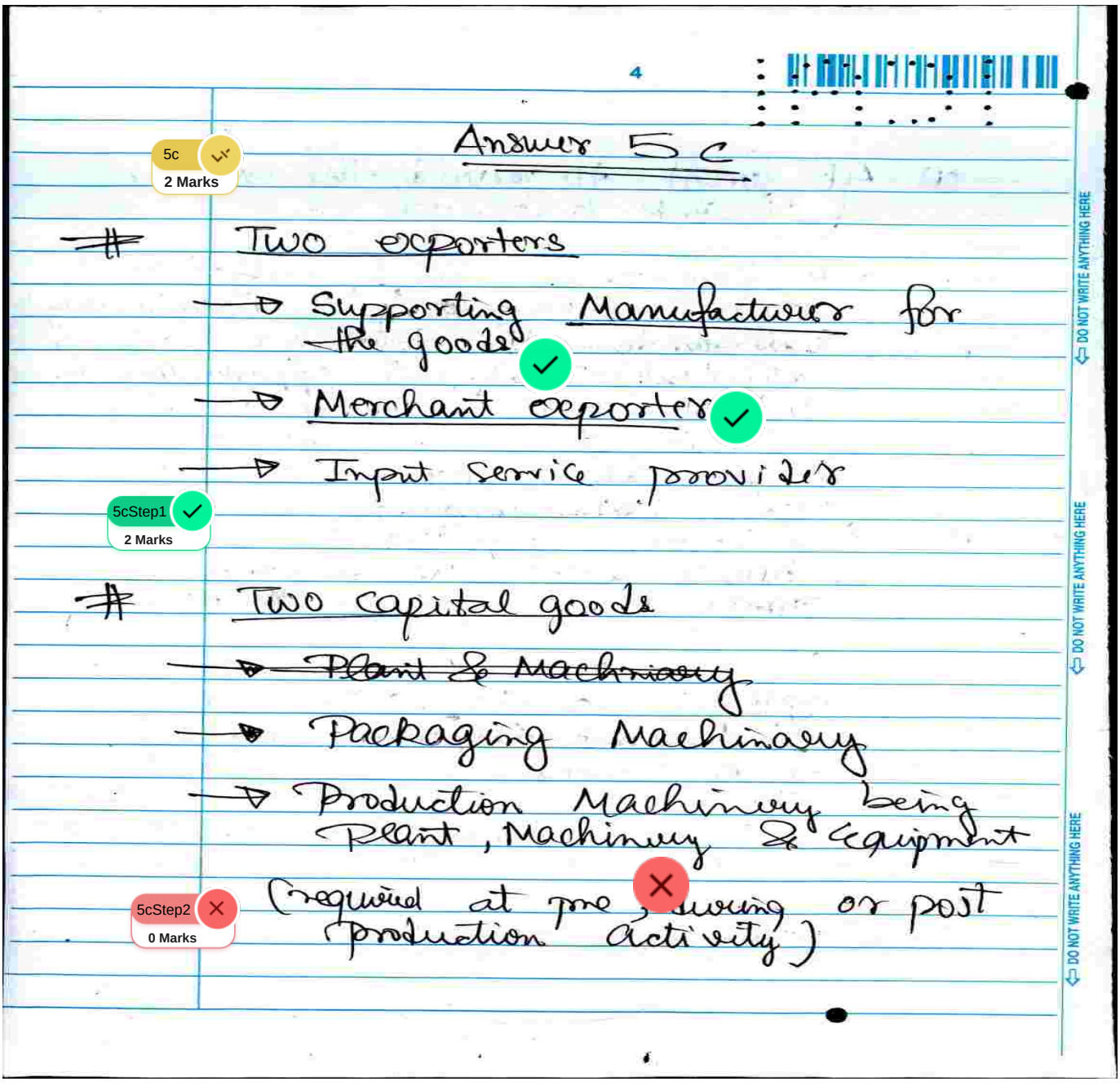
→ Since there was no sufficient cause therefore, not admissibility of evidence in GSTAT provided reasonable opportunity of being heard is provided to the AR

(ii) Supplier was admitted in hospital & AR could not produce the said evidence on request of AA.

Since the above falls under exception of the said evidences, the same is admissible by the Tribunal.

5bStep3
2 Marks

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4

Answer 5 c

5c
2 Marks

Two exporters

→ Supporting Manufacturer for the goods

→ Merchant exporter

→ Input service provider

5cStep1
2 Marks

Two capital goods

→ ~~Plant & Machinery~~

→ Packaging Machinery

→ Production Machinery being Plant, Machinery & Equipment (required at pre, during or post production activity)

5cStep2
0 Marks

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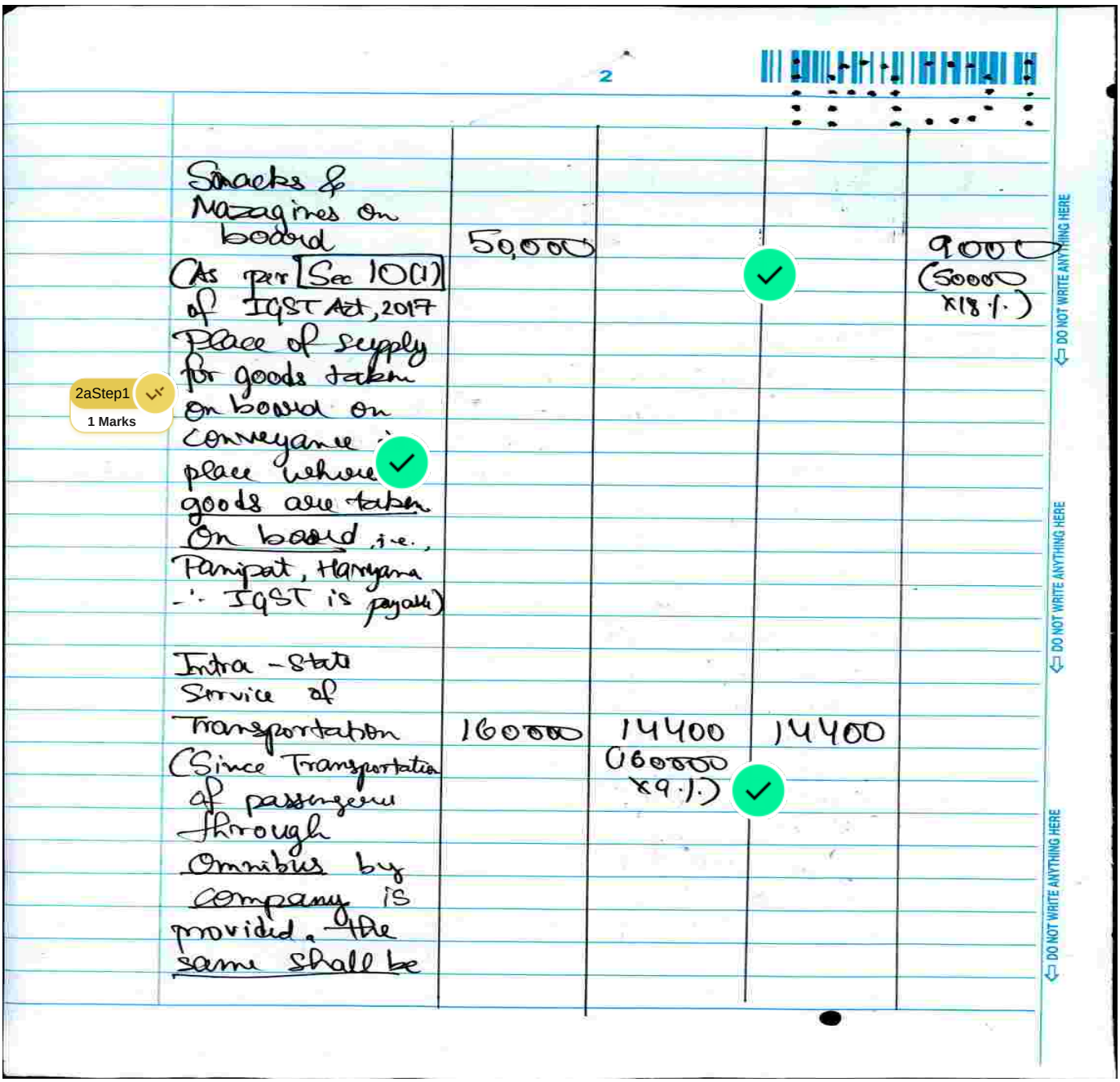
21 JAN 2026
10 MAY 2026
09 MAY 2026
5876888-05
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Answer 2a

2 — 13 Marks
2a — 4 Marks

Computation of Gross Tax Liability of FUN Tours Ltd.

Outward	Value	CGST	SGST	IGST
Tour operator Service (As per exemption Notification, where Tour operator provides services to a person where the said tour is ~~origin~~ organized wholly outside India, it is exempt from GST)	700000	—	—	—



2

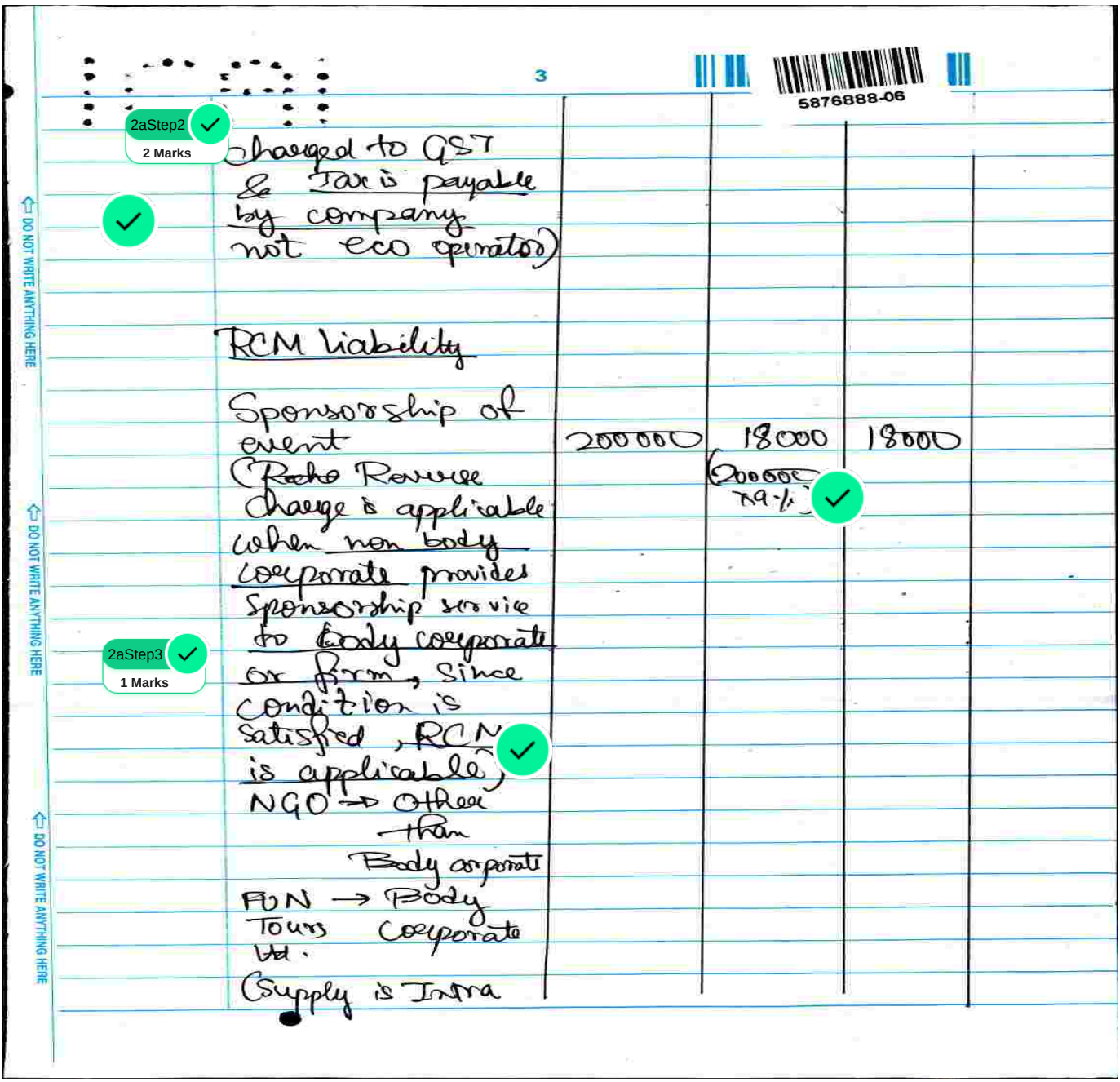
Snacks & Magazines on board (As per [Sec 10(1)] of IGST Act, 2017 Place of supply for goods taken on board on conveyance is place where goods are taken on board, i.e., Panipat, Haryana ∴ IGST is payable)	50,000			9000 (50000 ×18/100)
Intra-State Service of Transportation (Since Transportation of passengers through Omnibus by company is provided, the same shall be	160000	14400 (160000 ×9/100)	14400	

2aStep1 — 1 Marks

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3

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2aStep2 ✓
2 Marks

charged to GST
& Tax is payable
by company
not eco operator)

RCM liability

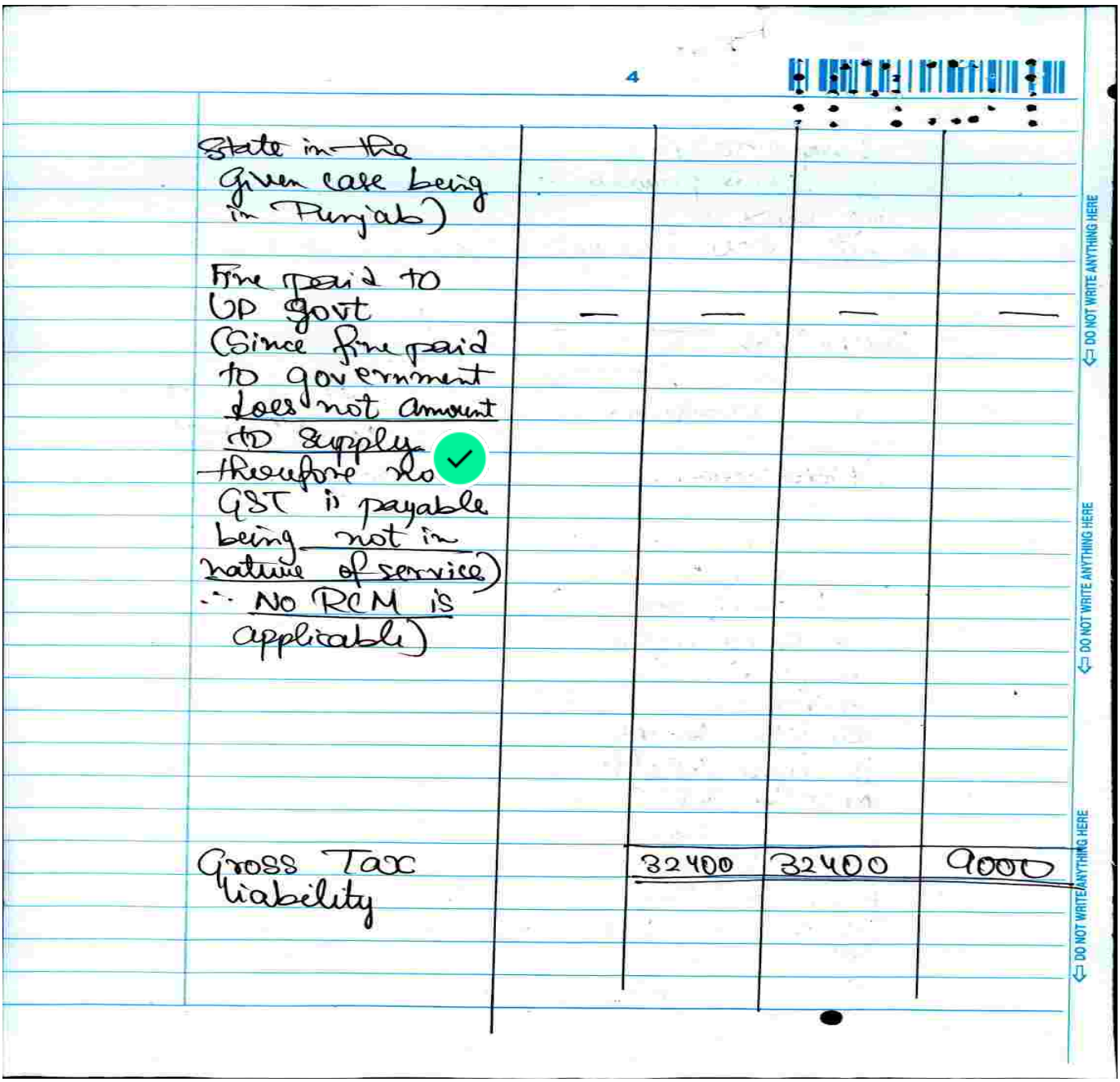
Sponsorship of
event

200000	18000	18000
(200000		
99-1/		

2aStep3 ✓
1 Marks

Reverse
charge is applicable
when non body
corporate provides
Sponsorship service
to body corporate
or firm, Since
condition is
satisfied, RCM
is applicable)
NGO → Other
than
Body corporate
FUN → Body
Tours Corporate
Ltd.
(Supply is Intra

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4

State in the given case being in Punjab)				
Fine paid to UP Govt (Since fine paid to government does not amount to supply therefore no GST is payable being not in nature of service) ∴ No RCM is applicable)	—	—	—	—
Gross Tax liability		32400	32400	9000

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09 MAY 2026
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07 MAY 2026
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2b
5 Marks

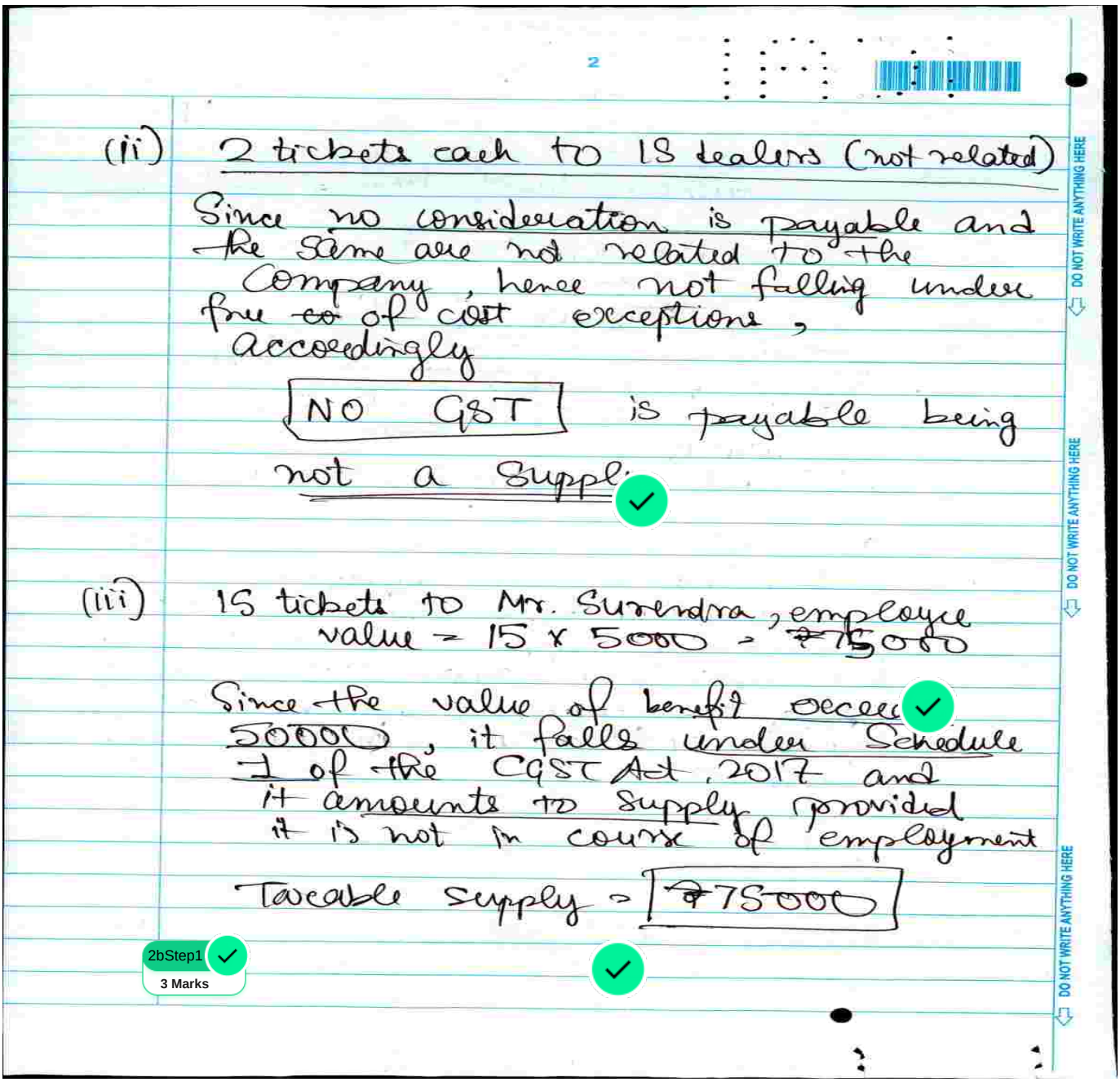
Answer Q 2 (b)

Value of Taxable Supply

(i) 20 Tickets to unrelated clients

Since no consideration is payable and the same is not falling under Schedule I of the GST Act for free of cost supplies, being provided to unrelated client, therefore

Not a Supply in given case.



2

(ii) 2 tickets each to 15 dealers (not related)

Since no consideration is payable and the same are not related to the Company, hence not falling under free of cost exceptions, accordingly

NO GST is payable being not a Suppl:

(iii) 15 tickets to Mr. Surendra, employee
value = 15 x 5000 = ₹75000

Since the value of benefit exceeds 50000, it falls under Schedule I of the CGST Act, 2017 and it amounts to supply provided it is not in course of employment

Taxable supply = ₹75000

2bStep1
3 Marks

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5876888-08

(iv) 20 tickets to Mr. Patel, employee
value = 20 x 5000 = 1,00,000

(Since the same falls under the employment clause of the employee therefore, [no GST] is payable being [not a supply] of goods or services)

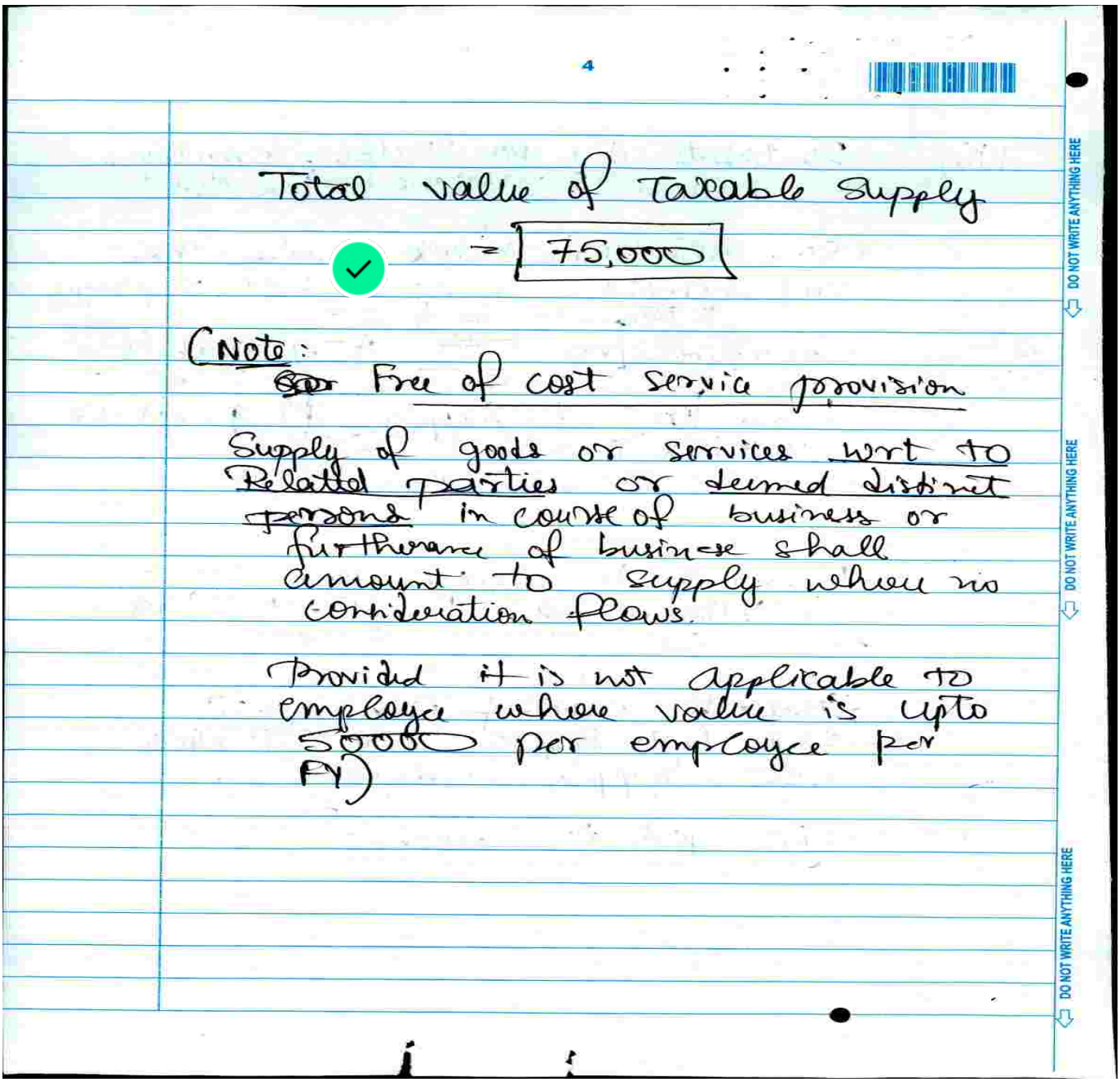
(v) 15 tickets to 15 employees
Value of each benefit = 1 x 5000
= 5000

2bStep2
2 Marks

Since the value of each benefit falls upto 5000 per employee, not a supply under GST.

No GST is payable)

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4

Total value of Taxable Supply

= 75,000

Note:

Free of cost service provision

Supply of goods or services wrt to Related parties or deemed distinct persons in course of business or furtherance of business shall amount to supply where no consideration flows.

Provided it is not applicable to employee where value is upto 50000 per employee per FY)

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10 MAY 2020
5876888-09
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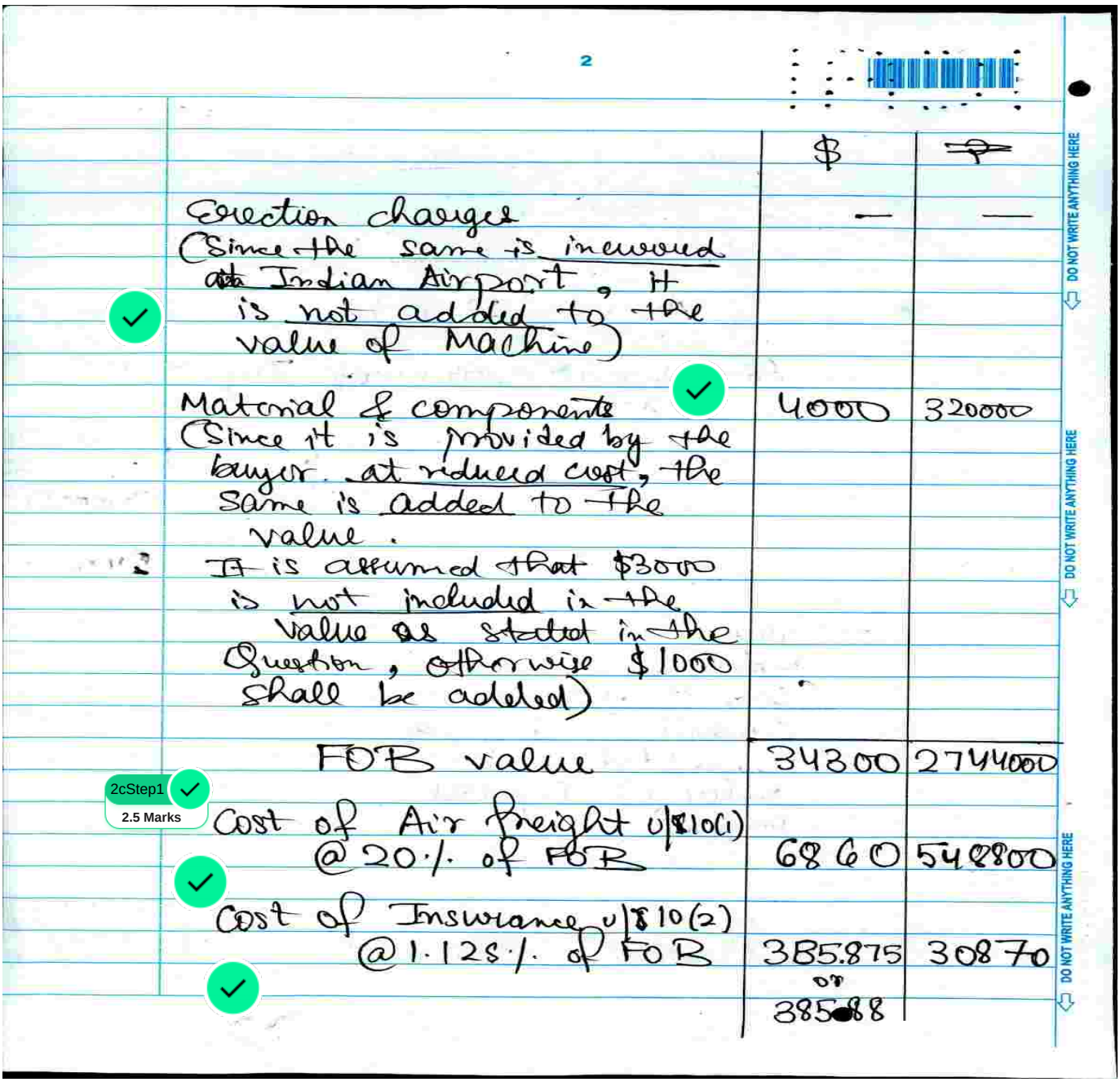
2c ✓ 4 Marks

Answer 2 (c)

Assessable value of Imported Machine

	$	₹
Invoice value	30,000	2400000
+ loading charges @1%	300	24000
+ Charges for right to reproduce (since it does not amount to royalty no added to the value of Imported Machine)	—	—

2cStep2 ✓ 1.5 Marks



2

	$	₹
Erection charges (Since the same is incurred at Indian Airport, it is not added to the value of Machine)	—	—
Material & components (Since it is provided by the buyer at reduced cost, the same is added to the value. It is assumed that $3000 is not included in the value as stated in the Question, otherwise $1000 shall be added)	4000	320000
FOB value	34300	2744000
Cost of Air freight u/s10(1) @20% of FOB	6860	548800
Cost of Insurance u/s10(2) @1.125% of FOB	385.875 or 385.88	30870

2cStep1
2.5 Marks

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The loading charges at the load airport are deemed to the included in the cost of freight computed as per Rule 10 (1). Therefore the same shall not be added again

Assessable value = 30000
+ 4000
+ 6860
+ 385.88
= $ 41245.88

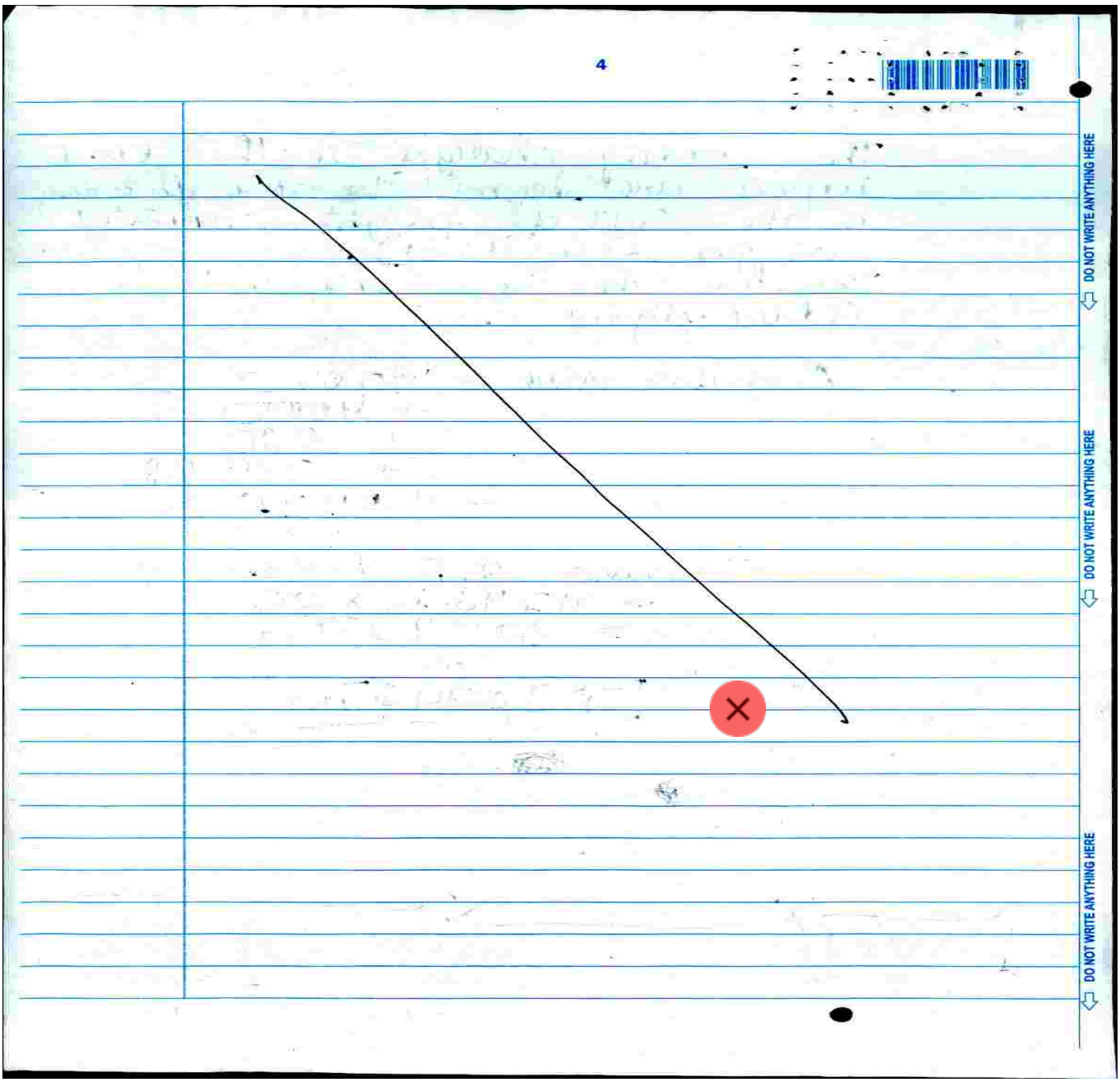
Equivalent INR Assessable value
= 41245.88 × 80
= 3299670.4
or
₹3299670

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Code:	FN5IT876888	**Total Marks:**	70
Subject :	05 Indirect Tax Laws	**Marks Obtained :**	57



The Institute of Chartered Accountants of India

Code:	FN5IT876888	**Total Marks:**	70
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Result Overview

Awarded Marks:57		**Max Marks:70**
Not Attempted	**Optional**	**M Marked**

Q1_Compulsory (Score: 11.5/14)

Question No	Awarded Marks	Maximum Marks	Status
1	11.5	14	M

Q2_Q6 (Score: 45.5/56)

Question No	Awarded Marks	Maximum Marks	Status
2	13	14	M
2a	4	5	M
2b	5	5	M
2c	4	4	M
3	10	14	M
3a	3	5	M
3b	5	5	M
3c	2	4	M
4	12.5	14	M

4a	4.5	5	M
4b	4	5	M
4c	4	4	M
5	10	14	M
5a	4	5	M
5b	4	5	M
5c	2	4	M
6	0	14	
6a	0	6	
6b	0	4	
6c	0	4	